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A survey of cross-border venture capital research

Thomas Boryniec^a, Chenxi Li^b and Yi Tan^a

^aAntai College of Economics and Management, Shanghai Jiao Tong University, Shanghai, China;

^bInternational Innovation Centre, Tsinghua University, Shanghai, China

ABSTRACT

Cross-border venture capital (CBVC) research is becoming increasingly important due to globalisation and its role as a key economic driver of development. As a result, the interest in the domain has been steadily growing in recent years and attracted much attention from top scholars worldwide. Our research provides a comprehensive overview of the growing body of academic research regarding cross-border venture capital. Based on a thorough screening and selection process of literature and an in-depth analysis, we review, summarise, compare, and evaluate the literature on a wide array of topics related to CBVC and identify existing general and theoretical trends over the past three decades. At last, we discuss research gaps and propose avenues for future research.

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Venture capital; internationalisation; syndication; cross-border venture capital; international finance; international business; cross-border entrepreneurship

Introduction

This survey reviews the growing body of academic research on cross-border venture capital (CBVC). Up until the preceding century, VC was believed to be a local affair due to the added value features offered by traditional VC firms and the monitoring requirements of portfolio companies that favour proximity. However, as the world has become more globalised with the expansion of the worldwide web and better transportation links, venture capitalists have increasingly ventured out beyond their domestic territories. According to the data provided by Zephyr¹ in Figure 1, both the deal volume and deal numbers in the CBVC market have multiplied from USD 11.76 billion and 754 in 2011 to USD 37.86 billion and 2,543 in 2020, respectively.

As the CBVC market grew, CBVC became increasingly popular as a research topic and attracted the attention of scholars around the world. According to Figure 4, which includes the articles that met our inclusion criteria, in 1989, only one article was written on CBVC, while in 2020, 15 were composed. Despite the increasing number of publications, few articles summarising CBVC research have been written in recent years, with the majority already being quite old and, to some degree, outdated (Maula 2010b; Wright, Pruthi, and Lockett 2005; Wuebker, Ács, and Florida 2010). The only recently published literature review related to CBVC that we are aware of is the one written by Devigne et al. (2018). However, they primarily focus on three research streams, determinants of

CONTACT Thomas Boryniec ✉ thomasb8989@yahoo.co.uk 📠 Antai College of Economics and Management, Shanghai Jiao Tong University, Shanghai, China

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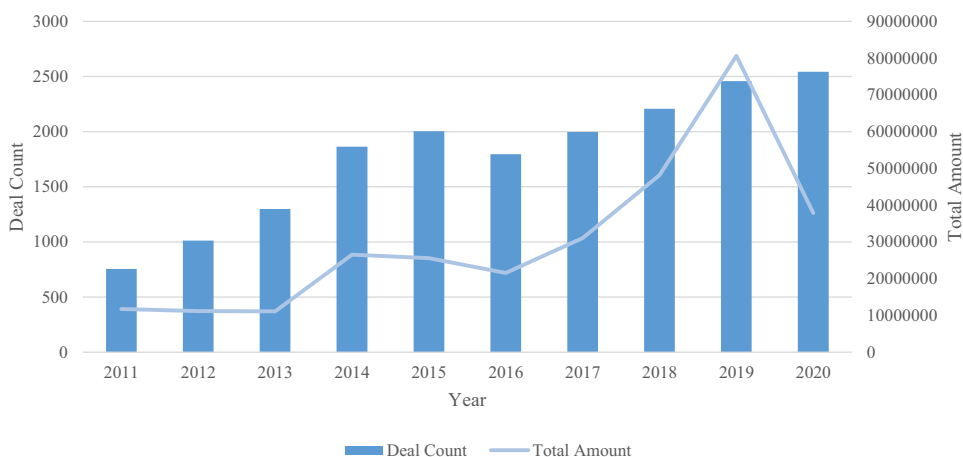


Figure 1. Cross-Border Deal Volume and Number (Source: Zephyr).

international VC activity, strategies to compensate for liabilities of foreignness, and the outcomes of international VC investments, while our literature review also covers other dimensions within the domain of CBVC.

To ensure a comprehensive review of the CBVC literature that complements existing reviews, we analysed and investigated a large number of relevant studies about the literature review writing process. In addition to having studied the aforementioned four literature reviews on the topic of CBVC, we also supported our work with some of the literature review writing techniques and approaches discussed in Tranfield, Denyer, and Smart (2003), Cronin, Ryan, and Coughlan (2008), Wallmeroth et al. (2018), and Grilli, Latifi, and Mrkajic (2019). We further built upon this foundation by incorporating our own methods, summarised in more detail in the methodology section below. The objective of our literature survey is to: (i) systematise all the scientific empirical and theoretical evidence produced to date on the topic of CBVC, (ii) critically appraise the current state of the literature, and (iii) guide an agenda that reports on the gaps and offer new avenues for future research. Our survey will first explain the approach used to establish a complete list of peer and non-peer-reviewed studies to ensure a representative sample of said research articles and establish a conceptual framework to combine all the themes. Next, we will review, summarise, compare, and evaluate the literature on a wide array of topics related to CBVC and highlight existing theoretical trends over the past 30 years. Finally, we will identify trends, research gaps and propose avenues for future research.

Methodology

For the purpose of this study, we have sourced international literature on the topic of CBVC. In total, we were able to find 137 articles published between 1989 and 2020 that satisfied our inclusion criteria. The complete list of the selected articles can be found in Table S1. Following the method established by Grilli, Latifi, and Mrkajic (2019), we started up with multiple keyword searches across the two largest bibliographic databases (Web

of Science and Scopus) and the top science search engine (Google Scholar). As a result, we were able to obtain an initial sample of research articles. During the second stage, we extracted keywords from each article or the publisher’s website and ranked them in order of frequency. Next, we performed another keyword search using the five most frequently occurring keywords to obtain a larger and more representative literature sample. During the third stage, we applied a technique called “snowballing” (Greenhalgh and Peacock 2005) to all the articles within the sample. Thanks to this technique, we were able to grow the size of our existing literature set significantly. For articles that were quite old and difficult to access, we took advantage of a service provided by a university library that specialises in sourcing difficult-to-obtain articles. In addition, as a last resort, we requested copies of the missing articles by contacting the authors directly (either via email or an online research platform called ResearchGate).

Following the method proposed by Grilli, Latifi, and Mrkajic (2019), the authors appraised the obtained set of articles to decide which ones should be included in the final sample. According to Sandelowski, Docherty, and Emden (1997), studies should not be excluded based on their merits exclusively as there may be different opinions within the research community as to what constitutes “good” and “bad”. Hence, rather than structuring our inclusion criteria primarily around quality, we only upheld a minimum quality requirement and based our inclusion criteria on relevance. Please refer to Figure A1 in Appendix A for a graphical representation of the entire literature sourcing, screening and selection process.

After obtaining the desired literature sample, we grouped the articles by the genre of the source (primary, secondary, and tertiary) (Patrick and Munro 2004). We defined secondary sources as summaries, editorials and commentaries of papers, while tertiary sources as literature reviews and meta-analyses. Primary sources were categorised as empirical studies and original research articles. Figure 2 displays the distribution of literature across these three categories.

Next, we developed an overarching conceptual framework to help us tie together the various themes of the cross-border venture capital (CBVC) literature and make it easier for readers to grasp the concepts covered. In addition, a framework enables us to study the overall market dynamics and understand how different forces within the

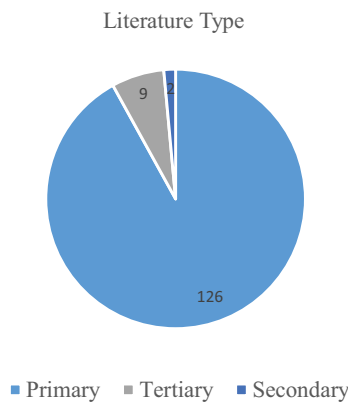


Figure 2. Literature Type.

CBVC market interact. Specifically, we adopted a conceptual framework similar to that of Gompers and Lerner (1999) and Wallmeroth et al. (2018). Many authors followed the approach of Gompers and Lerner (1999), including Gompers and Lerner (2001) and Wallmeroth et al. (2018). We also noticed that two previous literature reviews on CBVC (i.e., Maula 2010b; Wright, Pruthi, and Lockett 2005) utilised a similar method. Their approach presents the stages of the venture capital life cycle while tying different concepts and topics to each stage. In particular, Wallmeroth et al. (2018) distinguished between the three main phases of the venture capital cycle: pre-investment, investment, and post-investment. However, we renamed “investment” to “investment behaviour” as it aligns more with the literature we covered.

According to Gompers and Lerner (2001), to understand the venture capital market, one needs to study the entire venture capital life cycle. However, since scholars focus on different issues when discussing venture capital and CBVC, the content covered by venture capital research may vary to some extent from that highlighted in the CBVC literature. For instance, although the fundraising process is discussed in both venture capital (Gompers and Lerner 2001) and CBVC literature (Maula 2010b), the former covers this topic from the perspective of a domestic investor, while the latter discusses the theme from the perspective of a foreign investor, which gives rise to different conclusions and findings. The framework presented in Figure 3 has been adjusted to reflect the trends and topics discussed in the CBVC field. Our cycle begins with the pre-investment stage, in which we discuss the determinants of CBVC and answer the following questions: 1) why do investors invest abroad?, 2) why do investors invest in some regions and not others? and 3) what are some of the most recent global events that affect CBVC flows? Next, we proceed through the investment behaviour stage, which includes adding value to portfolio companies, CBVC syndication, and other investment strategies. In the post-investment stage, we study the factors influencing exit strategies and investment performance. We identified relevant themes and sub-themes following those three stages to highlight significant research and theoretical trends as well as to propose potential research gaps.

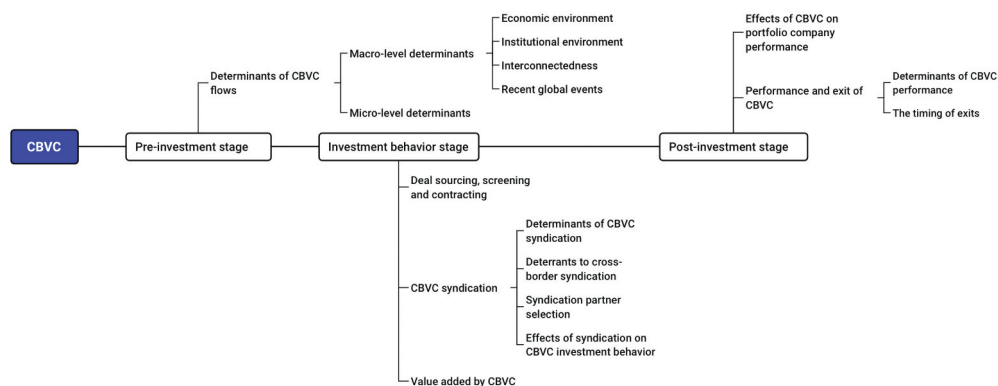


Figure 3. Venture Capital Life-Cycle: CBVC Perspective.

Descriptive analysis

General statistics

From [Figure 4](#), one can observe that the number of research documents has been steadily increasing since the first publication in 1989, indicating that CBVC research is growing and gaining popularity amongst scholars across the globe.

In particular, the subject has gained much attention from scholars in North America and Western Europe ([Figure 5](#)), with scientists from China and India also increasingly showing an interest in CBVC. This is not surprising, as Chinese and Indian CBVC markets have been growing in size and are now considered some of the world's largest ones. However, there is still little research from scholars in Eastern Europe, South America, Africa and some parts of Asia. We expect to see an increase in interest from the global research community as the global adoption of VC practices grows and the research data become more broadly available.

[Figure 6](#) below and [Figure B1](#) in [Appendix B](#) show that the authors and institutions with the highest number of publications are: Mike Wright (12), Sophie Manigart (9), Markku Maula (8), Ghent University (33), University of Nottingham (17) and University of Manchester (9), respectively, with Ghent University leading by a large margin among other institutions.²

Despite Belgium being a small country, it ranks third in our country ranking. Belgium's institutions seem to perform better than those of other nations, with Ghent University outperforming other institutions in terms of publication numbers by a large margin. Furthermore, [Figure 7](#) shows that the Journal of Business Venturing, the Journal of International Business Studies, Venture Capital and Entrepreneurship Theory and Practice have consistently been ranked as academic journals with the highest number of publications in the field of CBVC, which makes sense, considering their scope and focus.

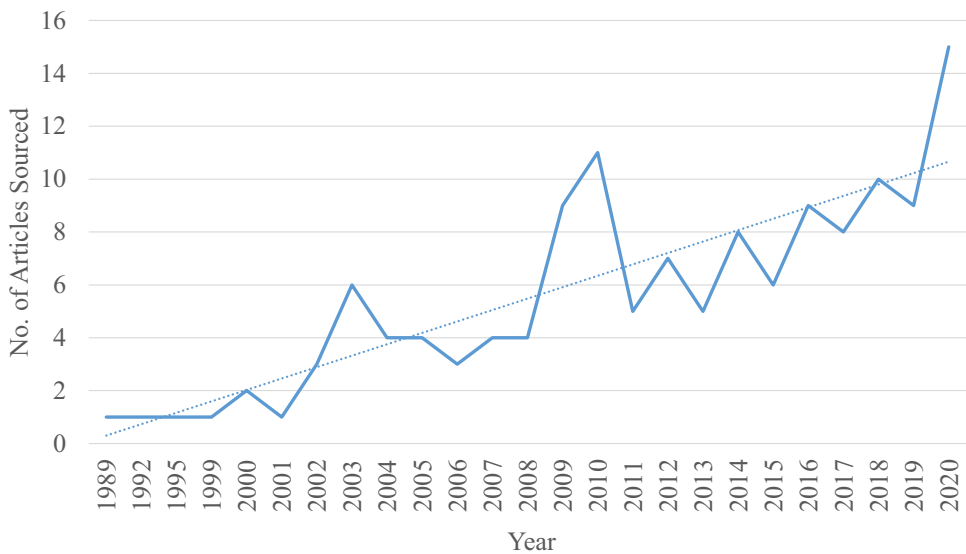


Figure 4. Number of Articles per Year.

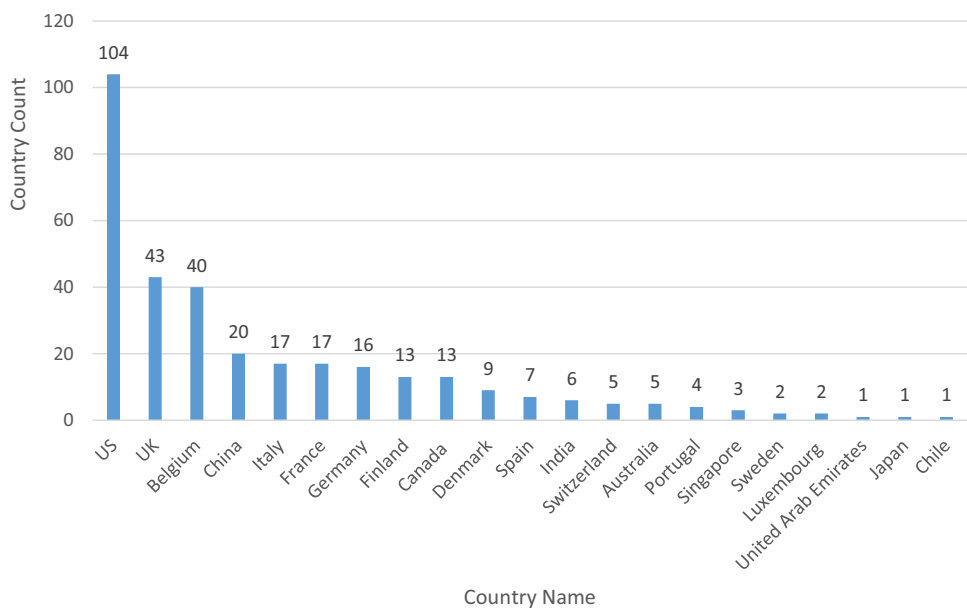


Figure 5. Top Countries in Terms of Authorship.

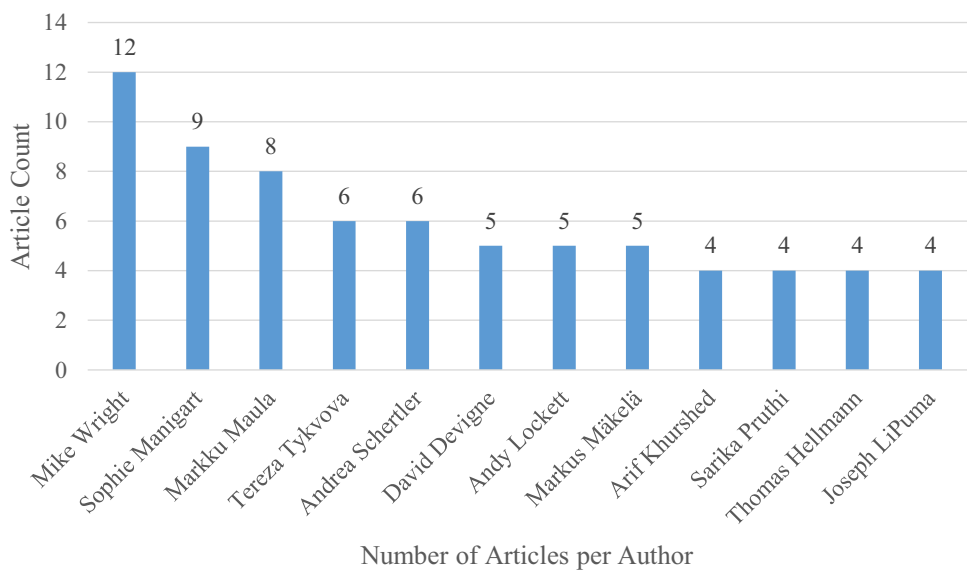


Figure 6. Number of Articles per Author.

Although VC articles are mainly published in business, entrepreneurship and finance journals, a number of journals related to economics, social sciences and legal studies have also published articles on the subject in the past. Moreover, we have observed that the majority of papers on the topic of CBVC are research articles (74.5%), followed by book chapters (7.3%), working papers (5.8%), industry reports (4.4%), conference papers (2.9%),



Figure 7. Publications per Journal.

Table 1. Some of the most cited articles.

Title	Author (Year)	Citations
The Venture Capital Revolution	Gompers and Lerner (2001)	709
The Determinants of Venture Capital Funding: Evidence Across Countries	Jeng and Wells (2000)	471
An institutional view of China's venture capital industry – Explaining the differences between China and the West	Bruton and Ahlstrom (2003)	331
Does Legal Enforcement Affect Financial Transactions? The Contractual Channel in Private Equity	Lerner and Schoar (2005)	249
Determinants of venture capital firms' preferences regarding the industry diversity and geographic scope of their investments	Gupta and Sapienza (1992)	217
Institutions and the internationalization of US venture capital firms	Guler and Guillén (2010b)	178
Institutional Influences on the Worldwide Expansion of Venture Capital	Bruton, Fried, and Manigart (2005)	165
Public policy and the creation of active venture capital markets	Da Rin, Nicodano, and Sembenelli (2006)	160
International venture capital research: From cross-country comparisons to crossing borders	Wright, Pruthi, and Lockett (2005)	150

Some of the Most Cited Articles (Source: Scopus on 12th of May 2021).

dissertations (2.9%), editorials (1.5%) and books (0.7%) which is in line with the data available on Scopus. Finally, Table 1 presents some of the most-cited articles related to the topic of CBVC. As can be observed, the number of citations is relatively low compared to citations for top papers in other finance domains, such as, e.g., studies about the stock market.

Data sources

Data sources represent platforms from which venture capital (VC) information can be obtained for the purpose of scientific research. In general, sourcing information about the VC market is often a challenge, as VC firms are usually reluctant to disclose private information to third parties. In addition, the precise definition of VC is ambiguous, as different scholars across the industry define VC in different ways. For instance, some consider angel investments, seed financing, development capital, management buyouts, and investments by private equity (PE) funds as part of VC (Bringmann 2018), while others differentiate between those terms. Furthermore, the definition of what constitutes a VC investor and a general partner is also vague across the CBVC literature (e.g., Chen, Chu, and Billota 2011). In addition, the availability of data varies across continents. As far as we know, the US introduced VC to the financial world shortly after the second world war (Gompers and Lerner 2001), hence, in the US, deal data analysis reaches further back in time than, for instance, in Europe or Asia, where VC is a relatively new concept. Figure 8 depicts the most frequently applied venture capital databases across the CBVC literature.³

The most commonly used sources are VentureXpert, surveys (e.g., interviews and questionnaires), Zephyr and venture capital associations, followed by smaller archives with more specialised and local focuses. For instance, VICO, Zero2IPO, CV Source, Venture Intelligence and the Asian Venture Capital Journal (AVCJ) are databases that mainly specialise in covering domestic markets or the markets of a particular region, such as Asia or Western Europe. The following section describes how the use of data sources has evolved over the past 30 years.

Evolution of CBVC data sources

While analysing the sample of articles, we noticed how the usage of different data sources evolved across the CBVC literature. For instance, during the initial years, from 1989 to 2005, most authors applied questionnaires and interviews to obtain relevant information (with a few exceptions). Only several scholars began utilising newly established databases, such as VentureXpert and other sources, including the AVCJ, European Venture Capital

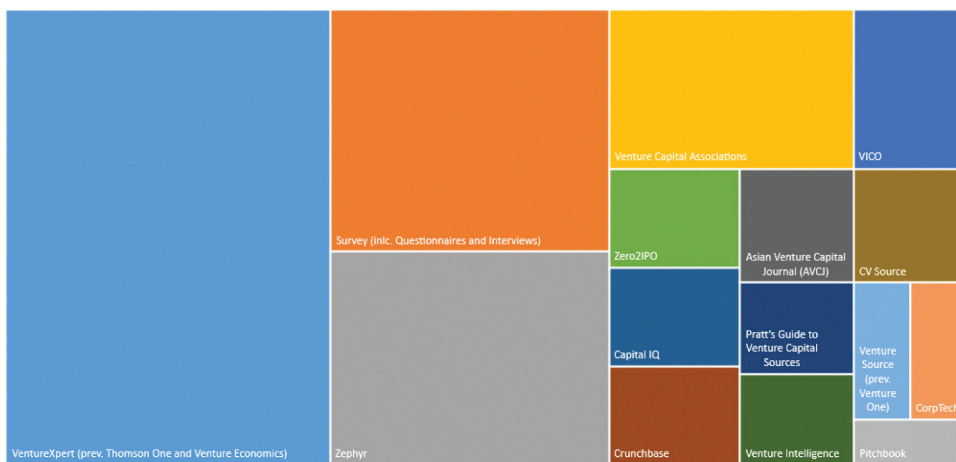


Figure 8. Most Commonly Used CBVC Sources

Association, and Pratt's Guide to Venture Capital Sources. The first empirical study on CBVC that we found was written by Gupta and Sapienza (1992), who used the 1987 edition of Pratt's Guide to Venture Capital Sources to source the necessary data. With the rise of new databases, the 2006 to 2010 period marked a shift from data sources, such as surveys, to archival databases. We found at least 10 studies that applied VentureXpert, four articles that obtained data from the European Venture Capital Association, and, for the first time, four articles that utilised the international database Zephyr (De Prijcker et al. 2009; Manigart, De Prijcker, and Bose 2009; Paeleman, Vanacker, and Devigne 2010; Tykova 2008). Interviews and questionnaires were also applied, but proportionally to the total number of articles to a lesser degree than before. Furthermore, they were often supported and complemented by VC databases. This trend also continued throughout the 2011 to 2015 period. The years between 2016 and 2020 were marked as a period of diversity, in which many organisations offered data services related to the CBVC market, including independent research providers, financial groups, country-specific VC associations (prior to that, most data came from associations representing an entire region or continent), company websites, and others. Moreover, the research trend of relying on databases has been reversing in recent years, with more scholars advocating for primary data sources (Arundale 2020; Dai, Hoje, and Kassieh 2012; Khadem 2020). Primary data sources, such as surveys, provide researchers with first-hand data and allow for more flexibility during the process of selecting a suitable research topic.

For a more in-depth summary of CBVC data sources, please refer to [Appendix C](#), where we briefly overview the most common VC databases and sources used to capture micro- and macro-level determinants within the CBVC literature.

CBVC literature reviews

In this section, we differentiate the themes exploited by four relevant CBVC literature reviews (Devigne et al. 2018; Maula 2010b; Wright, Pruthi, and Lockett 2005; Wuebker, Ács, and Florida 2010) and compare them with the topics covered by the recent work explored in this review.

One of the most apparent differences between our work and previous literature reviews is the amount of literature covered. The past 30 years marked a rapid rise in research generated across the industry. As a result, even the latest CBVC literature review written by Devigne et al. (2018) that mainly covers research up until 2017 (except for two articles), has reviewed significantly fewer sources than our study, as more than 30 new research papers have been generated between 2018 and 2020. Furthermore, as highlighted above, until 2010, many studies relied on cross-sectional survey methods, as, back then, the availability of archival data was limited. Hence, our study analysed more empirical studies based on longitudinal research data than the previous reviews, especially those prior to 2010.

Initially, the early reviews studied both VC and CBVC literature. For instance, Wright, Pruthi, and Lockett (2005) focused not only on VC internationalisation but also on cross-country comparisons of national VC markets. This trend continued throughout the 2000s alongside an increasing number of studies about "The Determinants of CBVC" (Wuebker, Ács, and Florida 2010). To the best of our knowledge, Maula (2010b) was the first author to create a literature review that mainly focused on CBVC studies. His work examined the literature from the perspective of the VC cycle proposed by Gompers and Lerner (1999).

Although it provided an up-to-date, comprehensive overview of the CBVC research, most studies were still focused on analysing determinants at that time. There were relatively few articles examining and explaining the performance of CBVC and its effects on portfolio companies. Maula (2010b) was followed eight years later by the work of Devigne et al. (2018), which is the only literature review on CBVC published within the past 10 years that we are aware of. They focused on three major research streams in the field of CBVC, which are the determinants of international VC activity, strategies to compensate for liabilities of foreignness, and the outcomes of international VC. Compared to previous reviews, this study covers more literature about the behaviour and exit strategies of domestic and foreign VC firms. However, certain themes have not been extended or discussed further. For instance, the effects of the most recent global events (e.g., The Global Financial Crisis, Brexit, and the COVID-19 pandemic) and their impact on CBVC activity have not been discussed. Furthermore, the topic of syndication (one of the most popular subjects covered by CBVC literature) has not been thoroughly studied in previous reviews. We intend to fill this gap by exploring the effects of the most recent global events on CBVC, the determinants of syndication, the syndication partner selection process, and the effects of syndication on the behaviour of VC firms. We also summarise literature related to the value added by CBVC as well as highlight post-investment behaviour. Finally, we also present time-dependent trends that we observed across the CBVC literature, which had not been done previously.

Apart from more specific differences, we also noticed general patterns, such as an increase in the literature related to the firm-level and microeconomic factors. Reviews prior to 2018 mainly covered literature from a macroeconomic perspective, as not many firm-level studies were present. In particular, the number of research studies about the influence of human capital, networks and post-syndication dynamics has increased in recent years. Moreover, we also noticed that the number of non-US and non-EU market studies has gradually risen. Thus, our review also includes research from developing economies, such as China, India and Africa.

Thematic analysis

In this section, we will review the sample of articles on the topic of CBVC that have been preselected and built around the conceptual framework shown in Figure 3. In the pre-investment stage, we will focus on the determinants of CBVC from both microeconomic and macroeconomic perspectives. During the investment behaviour stage, we will cover topics related to deal-flow generation, monitoring, CBVC syndication, contracting, and value-added by CBVC. Finally, in the post-investment stage, themes related to the effects of CBVC on the portfolio company and VC performance will be illustrated. After each subsection, we will briefly summarise a selected set of core studies. Specifically, Tables 2 to 3 will cover the pre-investment stage, Tables 4 to 5 will address the investment behaviour stage, and Tables 6 to 7 will focus on the post-investment stage. Furthermore, we will add a separate sub-section to discuss our literature sample's time-specific general, theoretical, and methodological trends. At the end of this part, we will highlight the existing literature gaps and propose future research directions.

Table 2. Summary of selected studies on cross-border venture capital.

Reference	Key Concepts	Key Variables	Key Predictions and Findings	Key Contribution	Method and Sample
<i>Pre-Investment Stage</i>					
Gupta and Sapienza (1992)	Institutional decision making, industry diversity, geographical scope	Preferences regarding industry diversity and geographical scope, stage of financing, VCF's ownership structure, size, type of financing	This study examined factors that might explain variations in preferences regarding the industry diversity and geographic scope of their investments. VCFs specializing in early stage ventures prefer less industry diversity and narrower geographic scope relative to other VCFs.	Showcase the investment preferences of VCFs.	Multiple linear regression using data of 169 domestic VCFs from California, Massachusetts, and Texas.
Groh et al. (2010)	Private Equity, Alternative asset, International asset allocation	Multiple variables	Create composite indices to compare the attractiveness of 27 European countries in terms of institutional VC/PE investment. The analyses reveal that while the UK is similar to the other European countries with respect to many criteria, its investor protection and corporate governance rules, and the size and liquidity of its capital market makes it more appealing.	Deepens the understanding of the determinants of VC.	Index calculation methods: Equally weighted average, factor analysis", severe" factor analysis. Data set consists of 42 data series.
Schertler and Tykvová (2012)	Gross and net cross-border inflows, economic factors, internationalisation	Gross CBVC inflows, net CBVC inflows, economic factors (capitalisation, patents, expected growth, stock returns...)	They investigate if economic factors drive gross and net cross-border venture capital inflows differently. Findings suggest that most economic factors shape gross and net outflows in a similar way.	Explain how economic factors affect capital flows.	Univariate and multivariate analysis using data of venture capital investments in European and North American countries from 2000 to 2008.

Table 3. Summary of selected studies on cross-border venture capital.

Reference	Key Concepts	Key Variables	Key Predictions and Findings	Key Contribution	Method and Sample
<i>Pre-investment Stage (Continued)</i>					
Jääskeläinen and Maula (2014)	Exits, network distance, geographical distance, cultural distance	Likelihood of non-domestic exits, likelihood of exits to a specific market; numbers of first- and second-order ties to foreign markets	They study how direct and indirect network ties of financial intermediaries mitigate the effects of distance. They find that proximity within networks incentivises CBVC flows, which indicates that network distance is an important dimension of distance in addition to its geographical and cultural dimensions.	Uncover the relationship between network ties and CBVC.	Logarithmic regression using Hofstede's (2001) cultural dimensions and a sample of 4216 companies from 14 European countries that received their first investment round between 1990 and 2002.
Mingo et al. (2018)	Emerging markets, private equity networks, institutions, geography	Dummy variable equal to one if the PE firm made one or more investments in a particular market during a year; institutional distance, geographic distance and network centrality	They examine how investment strategy of a PE firm in an emerging market is affected by the interplay between institutional and geographic distance and the firm's centrality in the regional syndication network. Their results indicate that, depending on the degree of centrality of PE firms within regional syndication networks, institutional and geographic distances can have differing effects.	Understand the dynamics between PE strategy and institutional, geographic distance and centrality in the network.	Using a logit model and a sample consisting of 42751 observations from PE firms involved in one or more investment transactions in Latin America, Southeast Asia or Eastern Europe between 1996 and 2011.
Bradley et al. (2019)	Internationalisation, entrepreneurship policy, foreign venture capital firms, domestic entrepreneurs	None	This paper lays out a framework explaining how policymakers can develop a set of policies targeted towards cross-border VC investment. The analysis shows that both policies that aim to attract foreign investors and policies for the development of the domestic VC market are needed.	Lays out framework under which future policies can be developed.	The paper examines available data and trends about the role of cross-border investing, focusing on Europe, Israel, and Canada. Last, it explains the underlying economic challenges and develops a policy framework.

Table 4. Summary of selected studies on cross-border venture capital.

Reference	Key Concepts	Key Variables	Key Predictions and Findings	Key Contribution	Method and Sample
<i>Investment Behaviour Stage</i>					
Kaplan et al. (2007)	Financial contracting, law and finance, empirical corporate finance	U.S. style terms, legal origin, VC experience, legal, accounting and institutional features	This study analyses VC investments in twenty-three non-US countries and compares them to US VC investments. The results are consistent with US style contracts being efficient across a wide range of legal regimes.	Demonstrate the importance of contracting.	Univariate and Multivariate analyses of contractual agreements, business plans, internal analyses, performance information from 213 VC investments in 119 portfolio companies by 14 VC firms.
Bottazzi et al. (2009)	Financial intermediation, legal systems, investor behavior, corporate governance, optimal contracts	Amount of interaction, common law dummy, legal enforcement, legal formalism	This paper introduces a theory and empirical test of how the legal system affects the relationship between venture capitalists and entrepreneurs. Results indicate that with better legal protection, investors give more non-contractible support and demand more downside protection.	Contributes to literature about the relationship between legal system and venture capital.	Probit model, primary source is a survey that was sent to 750 venture capital firms in 17 European countries.
Meuleman and Wright (2011)	Institutional theory, organisational learning, internationalisation	Cross-border syndication; no. of local PE investors and local investment banks	They examine the importance of institutional context and organisational learning in determining cross-border PE syndication. The results indicate that institutional context and organisational learning are strongly correlated with the process of cross-border syndication.	Demonstrate the process by which PE firms invest across borders.	Logistic regression using data from 685 buyout investments by 69 different UK PE firms between 1990 and 2006 in Europe.

Table 5. Summary of selected studies on cross-border venture capital.

Reference	Key Concepts	Key Variables	Objectives and Findings	Key Contribution	Method and Sample
<i>Investment Behaviour Stage (Continue)</i>					
Gu and Lu (2014)	Institutional theory, organisational reputation, China	VC syndication; no. of prior exits in China	Focus on how firm reputation affects a firm's propensity to form alliances. The results suggest an inverted U-shaped relationship between a firm's reputation and its likelihood of alliance formation.	Understanding the relationship between firm reputation and syndication.	Logistic regression using first round investment panel data from 1999 to 2011 including 285 VC firms that participated in 3,033 deals.
Meuleman et al. (2017)	Syndication, Embeddedness, Institutions, Partner Selection	Syndication with Foreign VC; direct ties; indirect ties; regulatory quality; shared industry association membership	Develop a model to explain how relational embeddedness interacts with structural embeddedness and legal and normative institutions. Findings suggest that although relational embeddedness is a driver of partnering, structural embeddedness and trust generating institutions facilitate cross-border partnering and diminish the need to rely on relationally embedded ties.	Demonstrate how relational embeddedness interacts with structural embeddedness, legal and normative institution.	Apply Case-control selection procedure (conditional logit model) on a 2000–2008 sample that consists of 873 European VC-backed companies where, on a follow-on round, at least one cross-border investor enters the syndicate.

Table 6. Summary of selected studies on cross-border venture capital.

Reference	Key Concepts	Key Variables	Key Predictions and Findings	Key Contribution	Method and Sample
<i>Post-Investment Stage</i> Fernhaber and McDougall-Covin (2009)	New venture internationalisation, provision of knowledge and reputation resources, international knowledge of a VC	International sales intensity, asset intensity and scope; VC reputation, VC international knowledge, interaction variable	This study investigates the role of VC in influencing the strategic direction of the PC. It reveals that VCs can serve as a catalyst to new venture internationalisation through the provision of knowledge and reputation resources.	Explains the effect of VCs on new venture internationalisation.	Tobit regression analysis using a sample of 93 VC-backed companies that had undergone an IPO between 1996 and 2000.
Wang and Wang (2011)	Domestic entrepreneurs, human capital, experience, networks, reputation, China	Investment success, investment duration, foreign VC's human capital, entrepreneur's experience	This paper investigates the determinants of cross-border VC performance in the Chinese VC market. Little correlation has been found between VC performance and foreign VCs' human capital, such as experience, networks and reputation. However, the domestic entrepreneurs' experience is an important determinant of VC performance.	The analysis helps elucidate the factors underlying crossborder VC performance in emerging markets.	Apply Logit and Cox hazard models with a sample consisting of 495 VC investments by 84 foreign VCs in 243 Chinese companies between 1999 and 2006.
Dai, Jo, and Kassieh (2012)	Internationalisation, proximity, cultural distance, exit performance, information asymmetry, partnership, venture performance	Foreign VC participation dummy; measures of info asymmetry: round size and number, venture stage at the financing round date, industries in which the ventures reside.	They investigate the investment behavior and exit performance of VCs that have pursued expansion outside their home country, specifically, in Asia. The findings indicate that foreign VCs have relative advantages over local VCs in terms of size and experience while they are at a disadvantage in information collection and monitoring due to both geographic and cultural distances.	Overview of global cross-border VC investment selection process and performance.	Probit regression, sample includes 4254 rounds of venture capital financing by 468 venture firms between 1996 to 2006 using a selection of models.

Table 7. Summary of selected studies on cross-border venture capital.

Reference	Key Concepts	Key Variables	Key Predictions and Findings	Key Contribution	Method and Sample
<i>Post-Investment Stage</i>					
Brander, Du, and Hellmann (2015)	Government venture capital, private venture capital, comparison, fundraising	exit (went public or was acquired), total amount of 1st round investment received; presence of GVC.	This paper examines the impact of GVCs on the success of enterprises. Findings suggest that enterprises funded by both GVCs and PVCs obtain more investment than enterprises funded purely by PVCs, and much more than those funded purely by GVCs.	Adds to the understanding of how government involvement affects VC performance.	Using Probit and OLS regression on a sample that includes 20,446 enterprises in 25 countries that received VC funding during the 2000–08 period.
Cumming, Knill, and Syvrud (2016)	International syndication, IPO, acquisition, valuation.	M&A and IPO exit, VC/PC investment relationship	Examine the impact of international venture capital investors on private firm success. Results suggest that relative to deals in which the investor base is purely domestic, private firms that have an international investor base have a higher probability of exiting via an initial public offering (IPO) and higher IPO proceeds.	Determines the impact of foreign investment on firm success.	Logit regression using data spanning 81 countries over the years 1995–2010.
Chahine, Saade, and Goergen (2019)	IPOs, foreignness of the VC syndicate, foreign business activities, certification, advice giving, monitoring, international presence	IPO premium; foreign sales to total sales, foreign assets to total assets, foreign net income to total net income	This article examines how foreign venture capital firms affect IPOs in the US. Findings suggest that US VC – backed IPOs benefit from the foreignness of the VC syndicate (quality certification of PC, play an advisory role, increased added value).	Explains how foreign VCs added value to the IPO process.	Using a sample of 1,086 VC-backed IPOs from 1995 to 2011, the authors apply a three-stage least squares regression analysis.

Pre-investment stage

In the pre-investment stage, VC firms determine whether to invest or not in a given project, while portfolio companies assess whether to accept such an investment. However, most articles focused on the determinants of CBVC from a VC's perspective, while research on the determinants of PCs has been largely unexplored. In the following subsection, we will review the literature about the influencing factors of CBVC from a macro and microeconomic perspective.

Determinants of CBVC flows

Drawing on the CBVC life-cycle, we will need to answer the following questions: "Why do VC firms invest abroad?" and "What are the fundamental forces and influencing factors of CBVC?". However, since variables affecting CBVC flows can be separated into two types, more specifically: microeconomic and macroeconomic factors, we will divide this subsection into the macro-level and micro-level influencing variables. We will start with reviewing the literature on macro-economic factors because it has been covered more widely across the research field and because research related to it dates further back in time than studies on micro-level determinants.

Macro-level determinants. While reviewing our sample, we identified a multitude of studies related to the macroeconomic drivers of CBVC. As there were so many, we decided to divide them into four distinct categories, determinants related to 1) economic environment, 2) institutional environment, 3) interconnectedness of VC firms within a network, and 4) recent global events. In this subsection, we will discuss the literature on each category separately.

Economic environment. The economic environment is an important influencing consideration when it comes to CBVC flows (Cumming, Fleming, and Schwienbacher 2009; Guler and Guillén 2010b; Jeng and Wells 2000; Schertler and Tykvová 2012). The CBCV literature explores two specific elements of the economic environment: a country's economic development and the financial market's state. Since gross domestic product (GDP) is one of the key measures of a country's economic development, scholars have attempted to identify the relationship between CBVC and GDP growth. For instance, Romain and van Pottelsberghe (2004) and Groh, Liechtenstein, and Lieser (2010) found that expected GDP growth in the target market is positively correlated with venture capital intensity. In contrast, the expected GDP growth in the VC firm's country of origin slightly discourages CBVC practices, as VC firms will concentrate their resources in the domestic market as long as they have sufficient growth opportunities (Schertler and Tykvová 2011). However, there are also contradicting views claiming that GDP growth is not a significant influencing determinant (Jeng and Wells 2000) and that financial markets play a more important role. The financial industry comprises several sectors, including the stock, bond, loan, and pension sectors. Most research confirms that the development of the stock market is an important driving force of CBVC flows (Da Rin, Nicodano, and Sembenelli 2006; Groh, Liechtenstein, and Lieser 2010; Madhavan and Iriyama 2009; Schertler and Tykvová 2011), especially because it incentivises initial public offerings (IPOs). IPOs are an important determinant of CBVC (Jeng and Wells 2000) as they provide

an exit mechanism for foreign VC firms (Black and Gilson 1998; Groh, Liechtenstein, and Lieser 2010; Guler and Guillén 2010b). Similarly, the size of the stock market can also positively influence the outcome for investors because the larger the stock market, the higher the demand for incoming and outgoing VC investments (Schertler and Tykvová 2011). Furthermore, high market capitalisation creates a favourable investment environment that promotes venture capital (Black and Gilson 1998). On the other hand, some scholars hold differing views. For instance, Schertler and Tykvová (2012) found that higher market capitalisation only increases gross inflows and not net inflows, while Jeng and Wells (2000) and Megginson (2004) confirm that stock markets play a role in venture capital, but its capitalisation growth is not such an important determinant as previously mentioned by Black and Gilson (1998). Moreover, Jeng and Wells (2000) distinguish between factors affecting early and late-stage VC activity. They claim that, although the stock market can significantly impact late-stage VC, it does not affect early-stage VC activity.

Apart from the stock market, the effects of other financial markets have also been studied; however, they do not play such an essential role in stimulating VC investment. For instance, Lerner, Sorensen, and Strömberg (2009) argue that the debt market has less influence compared to the development of the equity market, while Jeng and Wells (2000) claim that private pension fund levels also do not affect VC investing across countries.

Institutional environment. According to Lockett and Wright (2002), globalisation has led to greater freedom in cross-border capital flow, but there are still many entry barriers that VC firms face, such as geographical and institutional distance (the difference between home and host country institutional environments). Scott (1995) has grouped institutional distance into three dimensions: regulative, normative and cultural-cognitive. Bruton, Ahlstrom, and Singh (2002) and Bruton, Fried, and Manigart (2005) adopted those three perspectives to assess the influence of different types of institutional distance on CBVC and found a strong correlation between CBVC flows, cultural institutions, and the regulatory environment. Furthermore, Moore et al. (2015) discovered that increased normative and cultural-cognitive distance reduces cross-border investments because venture capitalists are less willing to invest in portfolio firms that are part of different or incompatible business environments. However, given the codified nature of regulative environments, regulative distance demonstrates no such relationship. Furthermore, international VC investors target institutionally developed countries with secure and stable legal and political environments (Balcarcel, Hertz, and Lindsey 2010; Bruton, Fried, and Manigart 2005; Groh, Liechtenstein, and Lieser 2010; Guler and Guillén 2010b) since it is as important as the financial market in stimulating VC activity (Armour and Cumming 2006). However, regarding the legal environment, the type of the legal system can influence the decision to venture out. For instance, German VC firms prefer to invest in target locations that follow common law instead of civil law (Tarrade 2012). Nevertheless, it was determined that a similar legal system is not a predictor of the choice of an investment destination.

Political factors, such as entry regulations and restrictive government policies, can hinder innovation and VC activity (Wuebker, Ács, and Florida 2010). On the contrary, policies aimed at opening up can create a friendlier investment environment and

stimulate investment throughout the downturns (Jeng and Wells 2000). Such policies could be targeted at many different areas to boost VC activity. This includes policies to boost entrepreneurship, loosen restrictions, offer more favourable taxes, and strengthen economic integration – for instance, countries with low barriers to entrepreneurship experience a higher market activity (Baygan and Freudenberg 2000; Guler and Guillén 2010b). A good example is China, where the market-oriented reform and the loosening of investment restrictions have greatly accelerated the development of CBVC flows in the past (Haitian, Yi, and Gongmeng 2007).

Another effective government tool is the tax policy. According to Mason (1999), Heikkila (2004), and Armour and Cumming (2006), tax policy is an important determinant of CBVC and can incentivise the formation of joint ventures (Soloveva, Yamini, and Wei 2020). For instance, lowering taxes on foreign direct investment (FDI) and capital gains can significantly reduce operational expenses making investing across borders less costly. Moreover, research also found that policies aimed at broad economic integration can influence the cross-border flow of VC (Alhorr, Moore, and Payne 2008). A good example is the formation of the European Union, in which countries share common markets and currencies.

Interconnectedness. Interconnectedness is another variable that positively influences the likelihood of CBVC. Multiple elements cause a country to become more interconnected. Each of them can impact CBVC flows, including geographical proximity (Mason 2007), transportation links (Bringmann 2018), language (Tarrade 2012), culture (Dai, Hoje, and Kassicieh 2012; Gantenbein, Kind, and Volonté 2019; Li, Vertinsky, and Jing 2014; Nahata, Hazarika, and Tandon 2014), colonial ties (Aizenman and Kendall 2012), trust between nations (Bottazzi, Da Rin, and Hellmann 2016), transnational networks (Madhavan and Iriyama 2009), and economic integration (Alhorr, Moore, and Payne 2008). However, the two most commonly discussed macroeconomic proxies for interconnectedness are transnational networks and geographical proximity. The remaining themes can often be linked to those two as they exert a significant influence.

- Transnational networks are cross-border links formed through syndication or referrals. By connecting with one of the network members, the firm can gain access to the remaining members, thus providing an efficient way to acquire and exchange resources between participants (Guler and Guillén 2005; Hochberg, Ljungqvist and Lu 2007). Transnational networks incentivise CBVC because they enable international players to reduce the risks associated with the liability of foreignness (LoF). LoF is defined as the informational and transactional costs that foreign VC firms incur for being outsiders within a given host country. When compared to local VC firms, the expenses of foreign VC firms are often reflected by fewer lucrative opportunities, a poor ability to monitor the PC, less market legitimacy, a higher likelihood of discrimination, weaker relationships with the local industries, and unfamiliarity with the host country (Dai, Jo, and Kassicieh 2012; Devigne, Manigart, and Wright 2016b; Meuleman and Wright 2011; Nachum 2010; Wright, Pruthi, and Lockett 2005). Thus, it is commonly believed that maintaining close ties with partners can shape and enhance mutual trust, which can mitigate the adverse effects of geographical and cultural distance (Hain, Johan, and Wang 2016) and promote corporate

development and access to shared resources. This theory is supported by Mason (1999), who claim that fund managers rely on informal networks, including VC firms, accountants, banks, lawyers, consultants, and universities, to access resources and information on investments and other opportunities. Although both direct and indirect network ties can, to some extent, mitigate the adverse effects of LoF and increase the chances of CBVC investment, the quality and frequency of knowledge are diminished after each step through the network (Jääskeläinen and Maula 2014). Language and culture are some of the variables that have the greatest impact on the formation of transnational networks. Since Anglo-Saxon countries share a similar language and culture, they enjoy common values, and their social ties tend to be stronger. Tarrade (2012) found that language proximity was among the strongest predictors of target location choice. However, strong local ties among domestic VC firms can hurt CBVC. Hochberg, Ljungqvist, and Lu (2010) demonstrate less entry by outside VC firms in more densely networked local VC markets within the United States. That is because local VC firms may react strategically to the increased threats of entry by freezing out outsiders that want to enter (Hochberg, Ljungqvist, and Lu 2010). Nevertheless, some scholars proposed a slightly different perspective. According to the competence-based theoretical view, increased competition is, to a certain point, promoting the growth of geographical specialisation (Christensen 2007). Furthermore, the effects of local VC firms are complementary, as they can offer a better environment for cooperation with foreign VC firms (Mäkelä and Maula 2008). Tykvová and Schertler (2011a) also found that local tie intensity seems to stimulate the expansion of VC financing across borders.

- As mentioned previously, one of the more apparent determinants of interconnectedness is geographical proximity (Aizenman and Kendall 2012). Since VC firms usually concentrate around core economic regions, such as financial and innovation centres (Harrison, Yohanna, and Pierrakis 2020), location is an important determinant of CBVC, with VC firms often being constrained with regard to the location they can invest in (Mason 2007). Transportation accessibility plays a vital role in attracting CBVC and can mitigate the negative impact of distance (Bringmann 2018). For instance, findings suggest that international airlines significantly facilitate VC mobility (Zheng, Duan, and Sun 2020) and can significantly lower the monitoring cost, which boosts the PC's performance (Colombo et al. 2017).

Recent global events. In addition to interconnectedness, large-scale international and regional events can also tremendously impact the international flows of VC. Within our sample, we found several studies investigating the influence of the financial crisis of 2007–2008, Brexit, and the COVID-19 pandemic on CBVC markets. The effects of the trade war on VC have also been investigated in the past (e.g., Chen, Gong, and Jinlin 2022), however, from a domestic VC perspective, which is beyond the scope of this literature survey.

- The Global Financial Crisis (GFC) has been the most severe financial crisis since the Great Depression of 1929. According to Block, De Vries, and Sandner (2010), this event was associated with a decrease in the number of initial VC funding rounds and a drop in funding liquidity available to PCs during the later stages of investment.

Furthermore, these effects varied across industries and were more pronounced in the US compared to other countries. Contradictorily, Conti et al. (2019) argue that, on an aggregate level, financed start-ups received the same amount of funding during the financial crisis as they did during non-crisis times. However, the authors also admit that venture capitalists allocate relatively more resources to PCs operating in the venture capitalists' core sectors, especially for early-stage investments with a higher degree of information asymmetry. Another study written by De Vries and Block (2011) addressed the impact of the GFC and dotcom bubble on the likelihood of syndication and syndicate size (the number of investors within a round). Their results suggest that VC firms are less likely to syndicate their investments during periods of economic crises. Furthermore, they also found that syndicate size was smaller throughout these periods.

- Brexit triggered a partial decoupling of the UK and European economies, making it more challenging for European VC firms to invest in British PCs and UK funds to support projects from within the EU. While the UK VC market is one of the largest in the world, because of Brexit, UK investors may lose access to the European Investment Fund, which provides liquidity and support to smaller investment firms (Wright 2016). Furthermore, according to Cumming and Zahra (2016), Brexit's barrier to immigration will negatively impact VC flows due to the well-established connection between immigration and entrepreneurship. In addition, the uncertainty associated with political changes can diminish some companies' ability to establish and maintain links to foreign VC markets, especially early-stage projects that are often more significantly affected by periods of political uncertainty (Sohns and Wójcik 2020). However, some authors have argued that the UK VC market's resilience will persist long term, given its longstanding links with the US investment community (Kalaitzake 2021). According to the authors, the UK secured USD \$9.4 billion annually in VC funding between 2016–2019, compared to just USD \$4.5 billion in Germany and USD \$3.6 billion in France. Since the UK made up such a large proportion of the market, post-Brexit capital markets in the EU will be significantly affected relative to GDP (Asimakopoulos 2020). Asimakopoulos (2020) argues that, in later years, the UK will remain the centre of international VC investment and account for a significant proportion of European VC activity. However, in the EU, the UK's dominance of capital markets will probably be replaced by the dominance of France and Germany.
- One of the most recent major events to have shaken the world economy is the COVID-19 pandemic. Not long after the pandemic began, at the beginning of 2020, many scholars have been trying to assess its impact on financial markets, including its effects on PE and VC markets (e.g., Kraemer-Eis et al. 2020). According to Gompers et al. (2020), venture capitalists have slowed their investment pace by 29% since the start of the pandemic. This decline in VC activity is more evident for projects characterised by higher uncertainty, such as investments in seed-stage ventures, industries with more exposure to the COVID-19 crisis, international deals, and non-syndicated investments (Bellavitis, Fisch, and McNaughton 2021). In particular, Bellucci et al. (2020), who studied the reallocation effects generated by the COVID-19 outbreak, documented by investigating the patterns of VC flows around the globe, a shift in the investment behaviour towards industries developing technologies related to an environment of social distancing and pandemic prevention.

Although the research found that VC investment behaviour has shifted and investment frequency has declined, VC firms surveyed by Gompers et al. (2020) expect the pandemic to have little effect on the fund IRRs (−1.6%) and MOICs (−0.07). Moreover, the authors find surprisingly little change in the allocation of time supporting PCs relative to searching for new investment opportunities. Furthermore, they also argue that the VC industry is less affected by COVID-19 than other markets and elements of the world economy. According to them, the VC industry exhibited a much lower degree of systematic risk compared to that faced throughout the dotcom crash and global financial crisis over a decade ago.

Micro-level Determinants. Compared to research on macroeconomic determinants, fewer scholars discuss the determinants affecting CBVC from a microeconomic perspective. Until recently, the microeconomic factors covered in the literature focused mainly on the relationship between human capital and CBVC, specifically the effects of the manager's experience, education, and network. For instance, according to Manigart et al. (2007), Patzelt, Zu Knyphausen-Aufseß, and Fischer (2009) and Iriyama et al. (2010), funds with managers that have extensive international investment experience tend to invest further away from their home nation. Both general human capital (more VC executives) and specific human capital (VC with previous international experience) encourage cross-border investment (Manigart et al. 2007). This is because they are more adept at dealing with institutional and legal challenges in foreign countries (De Prijcker et al. 2012). In addition, they often possess a wider network of international contacts. The agency expenses of venturing overseas also decline alongside the degree of international VC experience (Tarrade 2012).

Furthermore, the origin of the managers also has an impact on CBVC flows. Immigrant entrepreneurs tend to collocate with one another and form clusters that attract CBVC (Iriyama, Yong, and Madhavan 2010). For instance, Balachandran and Hernandez (2020) found that firms invest in more Indian start-ups when they have ties to Indian immigrants in the US. Moreover, human capital in the investee country also influences a foreign investor's decision to invest. A study found that human capital signals from entrepreneurs are an important criterion considered by CBVC when investing in uncertain environments. In particular, high-end human capital attracts CBVC flows (Aizenman and Kendall 2012). However, these effects are moderated by investors' country-specific experiences (Hain et al. 2017).

Other microeconomic topics have also been covered, but not in the same numbers as the studies on human capital. For instance, Gupta and Sapienza (1992) examined the impact of VC type and specialisation on the internationalisation of VC firms. They found that VC firms specialising in early-stage ventures prefer a narrower geographic scope than those focusing on late-stage investments, whereas corporate VC firms prefer less industry diversity but broader geographic scope than other non-corporate VC funds. The size of a fund is also positively correlated with wider geographical coverage (Gupta and Sapienza 1992). Cumming and Dai (2010) found that VC investment strategies that have a greater need for monitoring are often associated with a narrower geographic scope. These findings are backed by Hall and Ciwen (2003), who confirmed that the propensity to invest across borders increases alongside several indicators, including the size of the VC firm, number of existing offices, and stage of development of their investee ventures.

Investment behaviour stage

The next stage after pre-investment is the investment behaviour stage which occurs once the foreign VC firm decides to enter a foreign market. During this time, VC funds usually generate deal flow, screen target companies, select syndicate partners, negotiate legal contracts, monitor investee ventures, and add value. In the following subsection, we will discuss the decisions and challenges associated with these processes broken down into three parts: Deal Sourcing, Screening, and Contracting; CBVC Syndication; and Value Added by CBVC.

Deal sourcing, screening and contracting

When investing locally, VC firms can source deals from within their entrusted local network and screen deals by conducting intensive on-site due diligence. However, for foreign VC firms, the adverse effects of the increased geographical, cultural, and institutional distance make it more challenging to be involved to the same extent as at home. Hence, their strategies to generate deal flow, screen deals, and structure contracts may vary significantly. For instance, Lu and Hwang (2010) found that international VC firms originate fewer unsolicited deals from networks compared to domestic VC firms due to the liability of foreignness. In response to this liability, international VC firms primarily use their homegrown advantages and seek deals from within their own networks. Furthermore, international VC firms prefer investing in ventures started by entrepreneurs with previous founding experience while avoiding investment in early-stage projects, as these are associated with a higher degree of information asymmetry (Joshi and Subrahmanya 2019; Wuebker, Krrussl, and Schulze 2015). In a study about the Indian VC market, Wright, Lockett, and Pruthi (2002) found that foreign firms in India pay more attention to product market factors and financial reports than Indian firms in India.

VC is a field in which contracting plays a vital role in mitigating the adverse effects of information asymmetry. Countries' different legal systems and practices can greatly impact the contracting applied in CBVC. For instance, Lerner and Schoar (2005) found that investments in high enforcement and common law nations often rely on convertible preferred stocks with covenants. On the other hand, under low enforcement and civil law, investors tend to apply common stock and debt while relying on equity and board control. Bottazzi et al. (2009) also found that investors provide more non-contractible support and demand more downside protection when legal protection is better.

On the other hand, the average round sizes and the fraction of financing raised in the first round are larger for companies with less legal enforcement (Balcarcel, Hertz, and Lindsey 2010). However, VC sophistication and experience generally are more influential than legal regimes and other institutional variables. Kaplan, Martel, and Strömberg (2007) found that experienced VC firms still implement US-style contracts, regardless of the local legal regime.

CBVC syndication

Across CBVC, syndication is an essential and frequently used strategy to minimise the risks associated with LoF. For instance, more than two thirds of start-ups in the US are backed by syndicated VC (Tian 2012). In this subsection, we will discuss the three-stage process of syndication: determinants/deterrents of syndication, syndication partner selection, and effects of syndication on CBVC.

Determinants of CBVC Syndication. Studies found that the two main reasons for cross-border syndication are to reduce the risks associated with the liability of foreignness (Chahine, Saade, and Goergen 2019) and the need to learn (Khurshed et al. 2020; Meuleman and Wright 2011). According to the organisational learning theory, foreign VC firms can apply organisational learning to develop skills and tacit knowledge that would be challenging to acquire through channels other than syndication (Meuleman and Wright 2011). They can also accumulate local resources, connections and information through syndication (Meuleman and Wright 2011). Furthermore, syndication enables foreign VC firms, often restricted by distance, to delegate some of their responsibilities, such as value-adding and monitoring, to local partners (Chemmanur, Hull, and Krishnan 2016; Huang, Kenney, and Patton 2015; Mäkelä and Maula 2008). Overall, syndication with local players helps to reduce transaction costs arising from the distance between foreign investors and their investees (Tykvova 2008). Since LoF tends to increase with geographical distance (Zaheer 1995), thus, the further away from a VC firm's headquarters, the higher the need to syndicate, which is in line with findings by Tykvova (2008). In addition to geographical distance, institutional distance (Meuleman and Wright 2011; Tykvová and Schertler 2011b), cultural distance (Dai and Nahata 2016), and the legal environment (Meuleman and Wright 2011) also contribute to the degree of LoF and, thus, incentivise syndication. For instance, investments in countries with less institutional protection and higher political risks are more likely to be syndicated than those in nations with solid protection. This is because syndication helps ameliorate some of these potential issues (Meuleman and Wright 2011).

Reputation and network embeddedness also play a crucial role in driving cross-border syndication. Specifically, the reputation of a foreign VC has an inverted U-shaped relationship with the likelihood of syndication, which means that syndication will mostly occur when the foreign VC firm achieves a moderate reputation level (Gu and Xiaohui 2014). Lack of relational embeddedness or networks also incentivises foreign VC firms to seek help from local players. Moreover, the national business practices of the local market can also impact the likelihood of syndication. For instance, VC firms from the US tend to be more cooperative than their European counterparts (Arundale 2020).

From a domestic VC perspective, the organisational learning theory and resource-based view imply that the possibility of learning and accessing complementary resources, such as future investment opportunities, incentivises the formation of alliances (Khurshed et al. 2020). In the Chinese VC market (the second largest in the world), fundraising and exits via initial public offering (IPO) often take place overseas, while domestic VC firms tend to be more reliant on partners with access to overseas capital markets (Gu and Xiaohui 2014). According to the literature, cultural factors also play an important role in incentivising domestic VC firms to syndicate. Using China as an example once again, the importance of inter-organisational or interpersonal relationships (also known as *guanxi*) (Peng and Luo 2000; Xin and Pearce 1996), is deeply rooted in the culture of domestic firms, which leads to culturally induced obligations for partners to share information. Failure to do so may hurt their reputation and position in the community, as well as limit their access to future deal opportunities (Gu and Xiaohui 2014).

Deterrents to cross-border syndication. Although CBVC syndication benefits the network members, there are also potential disadvantages. For instance, Meuleman et al.

(2017) points out that firms entering syndicate arrangements face considerable uncertainty associated with the behaviour of partners and potential opportunity costs. Furthermore, syndication and centrality can harm the competitiveness of an organisation by exposing some of its private information (Dimov and Milanov 2010; Meuleman et al. 2009). From the learning theory perspective (Meuleman and Wright 2011), country-level and international experience reduce the need to rely on local partners via cross-border syndication. However, these findings contradict that of Dai and Nahata (2016), who argue that foreign VC firms with previous business experience and cultural understanding of the host country possess added confidence in native investors, thus incentivising them to form alliances. Nevertheless, the majority of studies agree that an experienced and diverse human resource base within the VC firm can reduce the tendency to seek syndicate partners (Joshi et al. 2019; Meuleman and Wright 2011). In addition, a highly developed market for investment banks and close ties with the investment bank can substitute and reduce the need for cross-border syndication (Meuleman and Wright 2011). Cultural differences also play an important role in cross-border syndication (Dai, Hoje, and Kassieh 2012). The authors found a negative relationship between the propensity to syndicate and cultural distance. Cross-border syndication between two culturally diverse VC firms can consume a significant amount of coordination and cooperation costs or even cause general conflicts and disruptions (Gu and Xiaohui 2014; Meuleman et al. 2009; Wright and Lockett 2003). In the past, studies have argued that establishing a physical presence in a foreign country is negatively correlated with the syndication intensity (e.g., Huang, Kenney, and Patton 2015). However, Meuleman and Wright (2011) contradict those findings and state that a physical office in the host country does not affect the formation of alliances.

Syndication partner selection. After deciding whether or not to syndicate, the next step is to select a syndication partner. During this process, one of the most important deciding factors in syndicate alliance formation is the number of resources available. For example, domestic VC funds would select foreign firms based on their complementary resources, such as foreign networks and access to overseas capital (Gu and Xiaohui 2014). The reverse would be true for foreign venture capitalists seeking partners offering complementary resources, such as local knowledge, expertise, and networks. Furthermore, cross-border funds prefer domestic VC firms with whom they have pre-existing ties. However, high-quality legal frameworks and industry associations facilitate syndication between cross-border and local VC firms while diminishing the need for CBVC firms to rely on pre-existing relationships (Meuleman et al. 2017). Reputation also plays an essential role in selecting syndicate partners. Basically, reputation acts as a form of quality assurance for investors, as it can further promote CBVC syndication and send a positive signal to the market (Gu and Xiaohui 2014).

Effects of syndication on CBVC investment behaviour. Syndication provides complementary resources to both foreign and domestic VC firms. As a result of resource sharing, syndicated foreign partners can enjoy better access to opportunities, promising deals (Tykvová and Schertler 2011b, 2014), and reduced transaction costs (Tarrade 2012). However, a study found that syndication can only overcome the challenges associated

with geographical distance, but not those associated with institutional distance (Tykiová and Schertler 2014). Due to the organisational learning effects, once firms have gained previous syndication experience, their actions become more daring, which translates to riskier deals, better performance, and a higher number of successful international exits (Dai and Nahata 2016; Khurshed et al. 2020).

Value added by CBVC

Traditionally, VC firms adopt a “hands-on” investment style to reduce risk and support entrepreneurs (Mason 1999). This “hands-on” or “added value” approach often compels PCs to choose VC financing over other traditional channels. In particular, funds can provide organisational, managerial, industrial, and even technological knowledge and expertise (Chemmanur, Krishnan, and Nandy 2011; Hellmann and Puri 2002). Regarding CBVC investment, value-adding is even more manifested because cross-border investments are often syndicated, thus providing PCs with access to a broader and complementary knowledge and resource base (Devigne et al. 2013). However, research has also shown that local venture capitalists tend to be more involved on the operational level, while foreign venture capitalists participate more actively on the strategic level (Pruthi, Wright, and Lockett 2003). Despite foreign VC firms being less involved on the operational level, there are areas in which foreign venture capitalists outperform their domestic counterparts. Alvarez-Garrido and Guler (2018) broke down the benefits provided by foreign VC firms into three points: 1) foreign VC firms offer access to a wider pool of resources, including access to capital, more business and learning opportunities, knowledge associated with experience in international deals, and access to international networks (Bertoni and Groh 2014; Cumming, Knill, and Syvrud 2016; Mäkelä and Maula 2005; Tykiová and Schertler 2014); 2) foreign VC firms promote internationalisation via their networks of international experts, such as investment bankers, lawyers, accountants, and underwriters (Cumming, Knill, and Syvrud 2016; Taussig 2017), which in turn, provides them with more opportunities to go public (Caglio, Hanley, and Marietta-Westberg 2016; Humphery-Jenner and Suchard 2013a); and 3) by engaging with foreign VC firms, participants send a positive signal to the market, indicating higher growth and performance potential (Jääskeläinen and Maula 2014; Woo 2020).

It is vital not only to understand how funds add value but also to know what factors influence the degree of value being added. One such factor is geographic distance (Devigne et al. 2013). According to Wright, Pruthi, and Lockett (2005), VC firms close to the target firm can offer better monitoring and value-adding services than those further away. However, the impact of distance can be mitigated by the VC firm’s experience and international reach. In addition, research by Sapienza, Manigart, and Vermeir (1996) has shown that VC firms in different countries support entrepreneurs to different degrees. For instance, venture capitalists in the US and UK exert more influence and provide value to entrepreneurs differently than their counterparts in the Netherlands or other Western European countries. Furthermore, Bottazzi, Da Rin, and Hellmann (2009) claim that foreign VC firms from countries with more sophisticated legal systems add more value.

Post-investment stage

The final stage of the VC life cycle is the post-investment stage, during which investors expect to see results and be rewarded for their input in the venture, which often arrives in the form of exits via IPO and acquisitions. Hence, this section will focus on the effect of CBVC on portfolio company performance, CBVC performance and exit, determinants of CBVC performance and the timing of exits.

Effects of CBVC on portfolio company performance

In general, we can categorise the effects exerted by CBVC on PCs into three categories: (1) propensity to internationalise, (2) performance, and (3) listing choice.

First, CBVC can influence the strategic decision of PCs to foster their internationalisation. Supported by the resource-based view, foreign VC can be valuable for a PC by legitimising its unknown new venture in the foreign market (Mäkelä and Maula 2005). In general, foreign VC can reduce the liability of foreignness of PCs and significantly increase the likelihood of internationalisation, or in other words, increase the internationalisation intensity (Woo 2020). Furthermore, the effects are more pronounced when the VC is reputable (Fernhaber and McDougall-Covin 2009). However, foreign investors tend to drive PCs towards their home markets, and the benefits may turn into disadvantages if the target market differs significantly from the home market of the foreign investors (Mäkelä and Maula 2005).

Second, CBVC's network, resources, social status, and reputation positively affect the PC's performance. By applying a multilevel framework to the longitudinal data of Belgian VC investors and their syndication partners, Bringmann, Vanoutrive and Verhetsel 2018 found that firms that are in their early stages of development and backed by VC firms with a vast syndicate network, demonstrated faster growth. Woo (2020) assert that foreign VC would increase the PC's internationalisation and foreign sales intensity, which are positively associated with the firm performance. Furthermore, a recent study by Que and Zhang (2020) analysed the different effects of both foreign and domestic VC on the innovation of IPOs. Using patent counts to measure innovation, their results indicate that foreign VC-backed firms are less innovative than domestic VC-backed firms due to their inferior geographic proximity to investors. In addition to being more innovative, closer proximity and a better understanding of the local market and culture often makes domestic VC firms better at screening, selecting, and monitoring investments. However, some research studies present contradictory results. According to Devigne et al. (2013) and Paeleman, Vanacker, and Devigne (2010), as the resources or capabilities required by PCs change over time, PCs initially backed by only domestic VC exhibit higher growth rates; however, in later rounds, PCs backed by foreign VC exhibit increased performance. In general, PCs backed by syndicates of foreign and domestic VC exhibit the highest growth potential. These findings are also supported by the study of Chemmanur, Hull, and Krishnan (2016).

Furthermore, the social status of foreign and domestic VC firms can also increase performance. The concept of transferring advantages associated with social status is commonly accepted. Based on the study of Guler and Guillén (2010a), advantages related to social status are transferable from the home nation to the foreign nation as a sign of quality. So naturally, VC firms with a high social status usually syndicate with other high-

status firms, which increases the PC's chances of survival, performance, and growth (Hochberg, Ljungqvist, and Yang 2007; Khaire 2009; Stuart, Hoang, and Hybels 1999).

Another measure that can positively influence the performance of a PC is reputation. According to Wilson (1985), Washington and Zajac (2005), and Jensen and Roy (2008), reputation is a more direct measure of quality than social status, as it is directly linked to the historical performance of a company. However, social status is only loosely linked to the actual quality or performance, instead, it positively influences the collective perceptions of potential partners about the firm and its outputs (Perrow 1961). According to Lin et al. (2017), CBVC's reputation significantly increases the market value of PCs; however, the effect of VC reputation is more significant across rule-based institutions than relationship-based institutions. This is because rule-based institutions are governed by a direct approach and rules, whereas relationship-based institutions adhere to principles that are not clearly defined. Instead, courtesy and saving face are more important.

Similarly to social status and reputation, scholars have debated the effects of home-country status on the performance of ventures. According to Alvarez-Garrido and Guler (2018), the home country status of a foreign VC firm does not uniformly improve PC performance. Instead, it does so only under certain contextual conditions, while the interconnectedness of the VC firms' and PCs' countries increases the impact of a VC firm's home-country status on the likelihood of a local exit (IPO or acquisition); however, this is not the case elsewhere. The degree of interconnectedness between countries often depends on government policies. However, there are also other ways in which governments can impact the performance of PCs. One of them is through government venture capital (GVC). The government commonly uses GVC to overcome funding gaps when promoting early-stage ventures (Luukkonen, Deschryvere, and Bertoni 2013). Research indicates that companies backed by both GVC and private venture capital (PVC) obtain more financing than those backed only by PVC and significantly more than those backed only by GVC (Brander, Du, and Hellmann 2015). Furthermore, syndication between GVC and PVC firms increases the likelihood of a successful exit (Brander, Du, and Hellmann 2015) and attracts international venture capital to the domestic market (Dahaj and Cozzarin 2019). However, Zhang (2018) argued that PCs backed by mixed syndication of GVC and PVC firms in their initial financing round are less likely to reach the next round to obtain refinancing.

Third, research has shown that CBVC also has an impact on a PC's listing choice. Supported by the network theory, foreign VC can provide better access to resources, such as top-tier lawyers, investment banks, and accountants, increasing the likelihood for PCs to list abroad. Foreign VC can also certify the quality of the PC at the time of IPO, which increases their IPO premium (Chahine, Saade, and Goergen 2019). Cumming, Knill, and Syvrud (2016) assert that PCs with a CBVC base have a higher probability of exiting via an IPO. Jääskeläinen and Maula (2014) found that the location of an exit is directly linked to the network ties of the pre-existing investor. Ventures with high levels of non-domestic direct and indirect ties were more likely to exit abroad. This is also backed by Humphery-Jenner and Suchard (2013a) and Cheng and Schwienbacher (2016), who studied the listing choices of Chinese VC-backed firms and discovered that PCs backed by a syndicate made up of domestic and foreign partners are significantly more likely to list overseas than PCs with only domestic participants. However, the propensity to list overseas is moderated by the number of venture backers, the fund's size, and governance

in the domestic market. Nevertheless, according to Cheng and Schwiendbacher (2016), the effects related to whom the PC is backed by (domestic vs foreign vs syndicate) diminished after the introduction of local stock exchanges, such as the ChiNext Board on the Shenzhen Stock Exchange.

Performance and exit of CBVC

The end goal of the VC is to exit. It is common practice across CBVC literature to measure performance by examining VC exits. Successful exits are positively correlated with VC returns, suggesting that such exits are a good measure of success (Phalippou and Gottschalg 2009). Exits can take multiple forms, but the most common ones discussed across the literature are exits via IPO, M&A, and liquidation. The former two tend to indicate that a venture was successfully exited, with an exit via IPO being the strongest indication of a successful exit, whereas an exit via liquidation indicates failure. With that said, the indicator of VC success is context-dependent. For instance, in Japan, exits via M&A are often preferred over exits via IPO (Hurry, Miller, and Bowman 1992), while in the US, the focus tends to be on IPOs. When VC firms exit, they can receive compensation for their input via sales of company shares, which are used as a vital source of VC funding for future investments and increases the willingness of investors to participate in future deals (Black and Gilson 1998).

Determinants of CBVC performance. There are many factors influencing CBVC performance, with two of them being syndication and institutional environment.

Syndication. According to Hochberg et al. (2007), Dai, Jo, and Kassicieh (2012), and Chemmanur, Hull, and Krishnan (2016), alliances can increase the likelihood of successful exits of CBVC. Specifically, Dai, Jo, and Kassicieh (2012) claim that cross-border syndication can boost the chance of a successful exit by 5%. Chemmanur, Hull, and Krishnan (2016) found that syndicates composed of both foreign and domestic partners will outperform those composed of purely domestic or foreign players in terms of exit likelihood and post-IPO operating performance. Dai, Jo, and Kassicieh (2012), Cumming, Knill, and Syvrud (2016), and Chahine, Saade, and Goergen (2019) argue that an international investor base can boost the probability of exiting through an IPO, which usually has higher proceeds. However, Humphery-Jenner and Suchard (2013a) stated that the presence of a foreign VC does not, per se, significantly increase the likelihood of a successful exit. Instead, the likelihood increases if the foreign VC collaborates with a joint domestic venture partner. Furthermore, the impact of foreign VC backing depends on the nature of the VC, with foreign VC firms tending to perform better when investing in late-stage companies and when they are diversified across industries. Wang and Wang (2011) argue that the human capital of a foreign firm has little correlation to VC performance, in contrast to the domestic entrepreneurs' experience. In addition, the research found that the syndication between GVC firms and PVC firms also boosts the likelihood of a successful exit (Brander, Du, and Hellmann 2015).

Wuebker, Krussl, and Schulze (2015) contradict the findings that syndication between foreign and local VC firms is correlated with IPO exits. Furthermore, the authors argue that syndication negatively influences M&A exits. Despite their contradicting views, most literature supports the idea that syndication increases the probability of success.

According to Gompers and Lerner (1999), one of the reasons for this is that syndication enhances due diligence, resulting in a more meticulous screening process that leads to the selection of higher-quality PCs. In addition, foreign VC firms often provide access to networks, which can indirectly influence performance in a positive manner (Humphery-Jenner and Suchard 2013a).

Institutional Environment. Many researchers have studied the impact of the institutional environment on CBVC and its exit strategies (Black and Gilson 1998; Cumming and MacIntosh 2003; Jeng and Wells 2000; Nahata, Hazarika, and Tandon 2014). According to Dai, Jo, and Kassicieh (2012) and Nahata, Hazarika, and Tandon (2014), a well-developed stock market can positively influence the likelihood of exit via IPO, while the legal framework can also play an essential role in stimulating exits within the CBVC market. Humphery-Jenner and Suchard, (2013a) used China as an example and found that, because of restrictions placed on the foreign ownership of companies, foreign investors tend to exit more frequently through M&A or secondary-buyout than through IPOs. Furthermore, a study of the East Asian market demonstrated that the degree of legal protection is positively correlated with the likelihood of an exit via IPO (Cumming, Fleming, and Schwienbacher 2006). As for cultural factors, Nahata, Hazarika, and Tandon (2014) found that cultural distance between countries of the PC and its lead investor positively affects VC success, as it incentivises rigorous ex-ante screening. However, some scholars provide contradictory results. According to Li et al. (2014), cultural distance negatively influences VC performance. Due to poor communication, information sharing can be hindered, which may negatively influence the performance of the parties involved. Value systems may also clash, especially in societies with polarised belief systems, such as collectivistic Asia and the individualistic West (Li, Vertinsky, and Jing 2014; Steensma et al. 2000). Specifically, one study found that individualism is positively and significantly correlated with VC investments (Gantenbein, Kind, and Volonté 2019).

The timing of exits. The timing of exits is an important decision that venture capitalists need to make. While more prolonged engagement with PCs results in higher management costs incurred by VC firms due to ongoing monitoring expenses and illiquidity, the longer investment duration can lead to more value added to the project. This, in turn, can result in higher future earnings (Espenlaub, Khurshed, and Mohamed 2015). In general, CBVC deals tend to be exited quicker than domestic deals for several reasons. First, the higher marginal cost associated with maintaining cross-border investments, incentivises investors to exit earlier (Espenlaub, Khurshed, and Mohamed 2015). Moreover, Mäkelä and Maula (2006) suggest that VC firms tend to withdraw earlier in light of poor performance. These findings are also in line with Devigne, Manigart, and Wright (2016a), who argue that contradictory to domestic VC firms, foreign investors, due to their lower social, economic, and emotional embeddedness, tend to deescalate their commitment towards a poorly performing venture, thus being less prone to individual decision bias.

Other factors may also play an important role in influencing the decision to exit, such as the VC firm's experience level and age. Both less experienced and young VC firms tend to push for quicker exits due to higher marginal costs, which increases the chances of

attracting future funding (Esenlaub, Khurshed, and Mohamed 2015). Interestingly, experienced venture capitalists have the expertise and networks to facilitate speedier exits (Esenlaub, Khurshed, and Mohamed 2015), while funds nearing the end of their lifespan are often forced to exit prematurely.

From a macroeconomic perspective, the quality of the legal system, the state of the stock market, and economic activity can influence the timing of exits (Black and Gilson 1998; Cumming and Johan 2007; Esenlaub, Khurshed, and Mohamed 2015). For instance, Schwienbacher (2008) contended that firms from the US tend to exit projects earlier than VC firms in Europe, partly because the US market provides more market liquidity and a better legal framework that reduces information asymmetries between the parties involved. Furthermore, active markets are characterised by earlier exits, as the marginal cost (opportunity cost) of holding onto the project rises with an increase in demand and supply (Cumming and Johan 2010; Schwienbacher 2008). The state of the stock market can also trigger a premature exit of a VC project. Venture capitalists tend to exploit bull markets and exit their deals via an IPO or M&A. Premature exits also can occur when the degree of information asymmetry between the VC and the market is high (Cumming and MacIntosh 2003).

General, theoretical and methodological trends

Various theoretical and research lenses have been used to examine the different stages of CBVC. To better understand the evolution and development of the various theories adopted, we have summarised and highlighted the general research themes, theories, and methods observed throughout the CBVC literature and arranged them in a time-dependent order. In total, we focused on a single twelve-year period (1989 to 2000) and four five-year periods (2001 to 2005, 2006 to 2010, 2011 to 2015, and 2016 to 2020) to aid our analysis. We believe that five-year intervals are feasible as they offer a large enough set of articles while also enabling us to identify critical trends. The reason for not splitting the twelve-year period prior to 2001 into multiple intervals is due to the limited number of research papers available from that time. At the end of each subsection, we have also provided a table – specifically, [Tables 8, 9, 10, and 11](#) – that offers an overview of the key trends identified within the literature for the respective time period.

Before 2001

Since CBVC is a fairly new phenomenon, academic research about this topic began at the end of the 1980s. One of the first articles that we have been able to source was created by Gupta and Sapienza (1992), who studied the determinants of industry diversity as well as the geographic scope of the VC from a strategic perspective. Following their work, other similar studies have been written about the determinants of international VC flows. In particular, the main question that concerned scholars throughout that time was: “why do VC firms invest overseas?”. This question was often answered using institutional and economic variables, including the importance of initial public offerings, gross domestic product, market capitalisation growth, labour market rigidities, accounting standards, private pension funds, and government programs on the propensity of VC firms to invest overseas (Jeng and Wells 2000). These factors can significantly influence a country’s institutional business environment and CBCV flows. Furthermore, institutional theory

Table 8. General and theoretical trends (1989 to 2005).

Year	General Trends	Theoretical Trends	Other Trends
Before 2001	<i>Determinants of CBVC</i> • industry diversity and geographic scope from a venture stage perspective • effects of IPO, GDP, market capitalisation growth, labour market rigidities, accounting standards, private pension funds, and government programs <i>Cross-Country Comparison</i> • VC activity across OECD countries by taking into account international venture capital flows	<i>Economic theory</i> • impact of economic factors on CBVC <i>Institutional Theory</i> • impact of the institutional environment (financial institutions, policies, legal systems, etc.) on CBVC	• This period marked the start of CBVC research. • The main focus was on cross-country comparison and studies centred around determinants of CBVC
2001 to 2005	<i>Determinants of CBVC</i> • impact of institutional factors • patterns of behaviour among interconnected VC firms <i>Cross-Country Comparison</i> • compare the legal, financial, political, and cultural systems between countries and the effects brought by them <i>Role of VC in internationalisation of PCs</i> • effects of foreign VC on PC • role of IVC vs CVC in internationalisation <i>Monitoring & Contracting</i> • foreign vs domestic VC firm involvement (e.g., strategic, operational) • Common vs Civil Law enforcement	<i>Institutional Theory</i> • effects of institutional environments on CBVC and portfolio company behaviour • institutional isomorphism <i>Liability of Foreignness</i> • challenges associated with being foreign <i>Agency theory</i> • monitoring to reduce agency costs • contracts to enforce control <i>Contract and institutional theory</i> • impact of the legal environment impacts the contract	• The number of CBVC articles experienced a sudden increase • A shift from studies only centred around the US and EU market to studies also focusing on other countries, especially Asian ones (e.g., India and Singapore). • The research relied on primary data sources with few studies using commercial databases.

justifies the role of social, political, and economic systems in shaping the institutional environment, which in turn affects VC behaviour. In another study, also built upon the foundations of institutional theory, Baygan and Freudenberg (2000) compares VC activity across OECD countries by considering international VC flows. Their work applies a more policy-relevant approach by providing policy recommendations regarding the handling of foreign VC flows and the promotion of entrepreneurship.

In total, only two empirical articles were written during that period: Gupta and Sapienza (1992) and Jeng and Wells (2000). Both articles applied linear regression analysis, with the latter using cross-sectional and fixed-effects regression analysis supported by longitudinal panel data. Apart from these two research papers, the remaining studies were more introductory, exploratory and descriptive in nature, often applying an inductive case analysis approach (e.g., Baygan and Freudenberg 2000).

Table 9. General and theoretical trends (2006 to 2010).

Year	General Trends	Theoretical Trends	Other Trends
2006 to 2010	<i>Determinants of CBVC</i> • effects of government policies in stimulating VC activity • impact of economic integration (e. g. Market and currency commonality) on CBVC flows • role of local VC firms in attracting Foreign VC firms • effect of a diverse set of factors on CBVC flows <i>Impact of institutional environment on VC</i> • the legal system affects the relationship between venture capitalists and entrepreneurs <i>Syndication of CBVC</i> • determinants of syndication • factors influencing investor commitment in CBVC syndicates • positive effects of CBVC syndication <i>Role of VC in internationalisation of PCs</i> • effects of VC on the decision to venture beyond borders	<i>Institutional theory</i> • effects of economic integration mechanism on CBVC <i>Resource-based theory</i> • VC firms can serve as a catalyst to new venture internationalisation through the provision of complementary resources <i>Upper Echelons theory</i> • the influence of the educational background of the top management team on VC firm's strategic decisions <i>Human Capital theory</i> • role of human networks as a mechanism of industry globalisation <i>Network theory</i> • network as a driver of VC internationalisation <i>International social capital theory</i> • the role of international social capital in the formation of inter-organisational ties and networks <i>Organisational learning theory</i> • influence of organisational learning on the selection of syndication partner <i>Contract theory</i> • the impact of the institutional environment on the contracting style of VCs	• 2006 marked the beginning of an increasing amount of CBVC research from a micro-economic and firm-level perspective • A rise of empirical studies relying on commercial databases.

2001 to 2005

Between 2001 and 2005, the number of CBVC publications increased significantly, attracting a multidisciplinary group of scholars with backgrounds in venture capital, entrepreneurship, innovation and international finance. The earlier studies have been largely exploratory and descriptive in nature. Determinants of CBVC continued to be studied, as they had been previously, with scholars adopting institutional theory as the dominant theory in a more systematic way. It was explored from the perspectives of regulatory, normative, and cognitive institutions to compare the legal, financial, political, and cultural systems between countries and the effects brought about by them (Bruton and Ahlstrom 2003; Bruton, Ahlstrom, and Singh 2002; Bruton, Fried, and Manigart 2005; Guler and Guillén 2010b). Similar to a decade earlier, cross-country comparisons of markets and VC behaviours are still trendy among scholars (e.g., Lerner and Schoar 2005). However, unlike in previous years, when research focused mainly on markets in the US and EU, newer studies also began to focus on other regions, especially Asia, with countries such as

Table 10. General and theoretical trends (2011 to 2015).

Year	General Trends	Theoretical Trends	Other Trends
2011 to 2015	<i>Determinants of CBVC</i> • microeconomic determinants of CBVC • the role of networks in VC internationalisation <i>Syndication of CBVC</i> • determinants of syndication • effect of syndication on organisational learning • syndication partner selection • knowledge transfer syndicate network • cross-border vs domestic syndication <i>Role/Impact of VCs on PC's performance</i> • the effects of foreign VC investment • CBVC and PC internationalisation • the effects of GVC investment <i>CBVC Performance and Exits</i> • determinants of exit performance • difference between domestic and foreign VC exit strategies	<i>Institutional theory</i> • study of features of the institutional environment that influence venture capital firms' foreign market entry decisions • determinants of country's attractiveness based on institutional environment <i>Resource-based theory</i> • syndication and complementary resource base • impact organisational resources on alliance formation and network ties <i>Network theory</i> • how networks stimulate the cross-border expansion of VC firms • how networks impact globalisation patterns in CBVC flows <i>Liability of Foreignness</i> • impact of CBVC on PC's LoF • impact of LoF on CBVC <i>Organisational Learning theory</i> • organisational learning within syndicates <i>Human capital theory</i> • impact of foreign and domestic VC firm's human capital on CBVC performance <i>Information Asymmetry theory and Agency theory</i> • impact of geographic distance on information asymmetry and monitoring • different risk-mitigating strategies of domestic and foreign VC firms	• A higher number of studies about the Chinese VC market began appearing. • More studies focused on the post-investment stages of venture capital • New research about GVC in relation to CBVC began appearing.

Table 11. General and theoretical trends (2016 to 2020).

Year	General Trends	Theoretical Trends	Other Trends
2016 to 2020	<i>Determinants of CBVC</i> • institutional factors in conjunction with other influencing forces (e.g., geographical and cultural distance) • determinants from diverse perspectives: trust, institutional weakness, human capital, social cues, pandemic etc. • <i>CBVC Syndication</i> • determinants of CBVC syndication • stages of syndication (pre-syndication, syndication behaviour, and post-syndication) • Syndication partner selection • Cross-country comparisons of syndicates • <i>Role/Impact/Value added of VC on PC's performance</i> • impact of syndication on PC performance • impact of GVC involvement on PC performance • <i>CBVC Performance and Exits</i> • implications of syndication on VC performance • exit strategy, exit time, determinants of CBVC exits	<i>Institutional theory</i> • IPO listing choice in the context of Chinese companies • how differences in institutional factors between DVC and FVC affect their decision to terminate an unsuccessful investment • the dynamics between institutional factors and reputation, trust, performance, syndication partner choice <i>Information Asymmetry theory</i> • the difference in the ability to reduce informational asymmetry between the US and European VCs <i>Resource-based theory</i> • GVC and PVC syndication and supplementary resources <i>Human Capital theory</i> • human capital signals from entrepreneurs as an important determinant of CBVC <i>International social capital theory</i> • social networks offered to PCs by FVCs <i>Liability of Foreignness</i> • mitigating factors of LoF (e.g., experience, reputation) • different strategies of DVC and FVC <i>Organisational Learning theory</i> • benefits to local VC firms when syndicating with foreign partners • impact of PC on VC	• It is worth noting that CBVC studies in developing and undeveloped markets are more present than before • A growing number of studies analysed the patterns of investments for different VC types and their influence on the PC and VC market • More studies analysed the impact of COVID-19 on CBVC

Singapore (Bruton, Ahlstrom, and Singh 2002) and India (Pruthi, Wright, and Lockett 2003; Wright, Lockett, and Pruthi 2002) attracting a fair amount of attention.

While analysing foreign markets, scholars identified CBVC strategies supported by information asymmetry, agency, and contract theories to mitigate risks associated with LoF (Cumming and MacIntosh 2003; Lerner and Schoar 2005; Pruthi, Wright, and Lockett 2003; Wright, Lockett, and Pruthi 2002). Two such strategies are: monitoring portfolio companies (Pruthi, Wright, and Lockett 2003) and applying contracts and covenants that aim to protect the rights of the parties involved (Lerner and Schoar 2005). However, Lerner and Schoar (2005) found that the latter can be influenced by a country's legal

environment, while the monitoring style of a VC firm is often dependent on the home country status of the VC fund (Pruthi, Wright, and Lockett 2003). Apart from assessing CBVC-related risks and discussing how to mitigate them, researchers also began to study the effects of CBVC on the internationalisation of portfolio companies from the perspective of isomorphism (Mäkelä and Maula 2005). Institutional isomorphism is a concept at the core of the institutional theory to explain the forces exerted on portfolio companies that lead to increased legitimacy in their vicinity when that location is optimal for internationalisation. However, this can also lead to costs if the opposite is true. Unlike previous studies, Mäkelä and Maula (2005) offer a different approach from the network theory studies in that they also focus on the potential downsides of internationalisation rather than assuming at the beginning that companies need to build a cross-border network to secure the resources needed for survival.

Early cross-border venture capital research focused mainly on detailing the inception, evolution, and comparing national venture capital markets. Many studies during this period used interviews and surveys to perform cross-country comparisons of national environments (e.g., Wright, Lockett, and Pruthi 2002) and in-person interviews to examine questions related to cross-country differences in firm operations (e.g., Bruton and Ahlstrom 2003; Bruton, Fried, and Manigart 2005; Pruthi, Wright, and Lockett 2003). Interestingly, we did not find many empirical studies that relied primarily on commercial databases throughout this time, with primary sources as the main information source.

2006 to 2010

Research on the determinants of CBVC also continued to be popular between 2006 and 2010. In particular, the influences of variables on CBVC flows, such as institutional factors, market integration, human capital resources, human networks, geographical distance, language, and colonial ties have been investigated (Da Rin, Nicodano, and Sembenelli 2006; De Prijcker et al. 2009; Groh, Liechtenstein, and Angel Canela 2008; Iriyama, Yong, and Madhavan 2010; Kaplan, Martel, and Strömberg 2007; Lerner, Sorensen, and Strömberg 2009; Mäkelä and Maula 2008; Manigart et al. 2007). While the majority of research was still performed from a macro-economic perspective supported by institutional theory, an increasing number of scholars began to investigate CBVC from a firm-level viewpoint, which led to the application of new theories in the CBVC literature. For instance, Mäkelä and Maula (2008) apply the social capital theory by studying the role of international social capital and endorsement in the formation of inter-organisational ties and networks. According to Nahapiet and Ghoshal (2009), social capital is the accumulation of actual and potential resources embedded within and accessed through a network of relationships, while international social capital is the cross-national equivalent of social capital (Autio, Sapienza, and Arenius 2005). As networking is an integral part of the CBVC investment process, the social capital theory has gained a decent amount of traction among scholars. In addition to the social capital theory, human capital and network theories have frequently been used to clarify events within the CBVC literature. For instance, De Prijcker et al. (2009) adopt the perspective of the human capital and network theory to analyse the impact of international human capital and international network relationships on private foreign investment equity's behaviour. As the decisions of private equity

firms are made by management, the characteristics and behaviour of those in charge of an organisation can significantly influence the direction of that company, which brings us to the upper echelon theory. This theory complements the human capital theory by proposing that organisational outcomes are partially predicted by certain traits and characteristics of managers (e.g., education, skills, and experiences). Patzelt, Zu Knyphausen-Aufseß, and Fischer (2009) applied the upper echelon theory to investigate how the educational background of the top management team, in conjunction with industry diversity and geographic scope, can influence the VC investment decision-making process regarding a portfolio company's development stage.

Another research area covered throughout this period is contracting. Kaplan, Martel, and Strömberg (2007) draws from the contract theory to investigate whether financial contracts observed in the US are optimal in other institutional environments. Contract theory analyses how entities and organisations develop legal agreements in the presence of uncertain conditions, unknown factors, and information asymmetry. As investing overseas involves a significant amount of uncertainty, contract theory has been present throughout the CBVC literature. Similar to contracting, VC syndication can also mitigate some of the risks involved in CBVC, which is why many scholars studied this topic (Mäkelä and Maula 2006; 2008; Tykvova 2008). From a resource-based theory perspective, a company is defined as a collection of strategic resources that a firm can exploit to achieve sustainable competitive advantage. The resource-based theory supports the generation and deployment of firm-specific resources to create value. As such, it has become the dominant approach to investigating inter-firm differences across the CBVC literature. Specifically, this theory postulates that, by forming partnerships, the parties involved can access complementary resources (Fernhaber and McDougall-Covin 2009; LiPuma 2006). Fernhaber and McDougall-Covin (2009), who study the influence of CBVC on the internationalisation of portfolio companies, support this view, as they found that VC firms can serve as a catalyst to new venture internationalisation through the provision of knowledge and reputational resources. Another important theory related to syndication is the organisational learning theory, which promotes the view that learning occurs when organisations interact with one another while finding and solving problems. Scholars often base their studies on this theory to explain the learning phenomenon within CBVC. Thanks to the shared access to resources within a syndicate, foreign VC firms can obtain local knowledge from their domestic partners, while domestic VC firms can, in return, gain international knowledge. Hence, Meuleman and Wright (2011) argue that the demand for a particular type of knowledge can influence the choice of syndication partners. This has led to studies about the effects of varying syndicate compositions (composed of domestic, foreign or syndicated VC) on the performance of the portfolio companies (Paeleman, Vanacker, and Devigne 2010).

Compared to the previous period, the CBVC research field experienced a spike in empirical studies that rely on commercial databases, possibly due to the increased availability of CBVC data sources and interest among scholars. Among methodological designs, regression and inductive case analysis continued to be widely used (e.g., Mäkelä and Maula [2005], [2006], [2008]). In addition, longitudinal research designs (including panel data analysis) and network analysis have gained more traction among scholars (e.g., Madhavan and Iriyama 2009).

2011 to 2015

A sizeable portion of studies is still focused on the determinants of CBVC. That said, research about determinants became more thorough compared to previous years. For instance, apart from studying macroeconomic factors, researchers also began to more frequently rely on the network theory, answering questions of how and why networks form, how they stimulate the cross-border expansion of VC firms and how home country network advantages shape the globalisation pattern in CBVC flows (Jääskeläinen and Maula 2014; Tykvová and Schertler 2011a).

Supported by organisational learning, information asymmetry and agency theories, De Pijcker et al. (2012) studied the impact of international knowledge (experiential knowledge, inherited knowledge and external knowledge) on investors' ability to overcome challenges arising from LoF and their propensity to internationalise. Those theories were also adopted to justify the different strategies applied by VC firms to mitigate the risks associated with portfolio company internationalisation, such as adjusting round size, round interval and round syndication (Lipuma and Park 2014). Meanwhile, research from the institutional theory perspective continued to cover a wide range of financial, legal, political and cultural topics (Aizenman and Kendall 2012; Meuleman and Wright 2011; Moore et al. 2015).

Syndication also maintained its popularity among scholars as they applied transaction cost and institutional theories to examine the impact of influencing variables on the syndication decision-making processes, such as institutional, and geographical distance (Tykvová and Schertler 2011b), organisational learning, experience (Meuleman and Wright 2011), and reputation (Gu and Xiaohui 2014). According to Williamson (1979), transaction cost theory suggests that transactions produce coordination costs associated with monitoring, controlling and management. Since these costs are particularly high when investing across borders and syndication helps mitigate them, studies about syndication are often used in conjunction with this theory. Furthermore, Espenlaub, Khurshed, and Mohamed (2014) compared cross-border syndication to domestic syndication, while Huang, Kenney, and Patton (2015) studied the syndication partner selection process in China, which strongly relied on the resource-based view. Syndication provides portfolio companies with access to a broader and complementary resource base (Devigne et al. 2013) and to the organisational resources, which affect alliance formation (Gu and Xiaohui 2014).

Since a firm's performance is highly correlated to human resource factors, the human capital theory has been frequently applied to justify the impact of foreign and domestic VC firms' human capital, network, and reputation on CBVC performance (Wang and Wang 2011). Furthermore, Li et al. (2014) and Bringmann, Vanoutrive and Verhetsel (2018) propose institutional and cultural distance, as well as network ties, as factors that influence the performance of CBVC. Moreover, scholars also compared domestic and foreign VC firms' investment strategies and exit performance (Dai, Hoje, and Kassieh 2012; Espenlaub, Khurshed, and Mohamed 2015). Finally, the difference in the exit timing between domestic and foreign VC was also studied in more depth (Espenlaub, Khurshed, and Mohamed 2015).

This period continued the trend from the years before, with the number of empirical studies using commercial databases significantly rising. Furthermore, probit, logit, and logarithmic regressions became popular, with many studies relying on them (e.g., Gu and

Xiaohui 2014; Jääskeläinen and Maula 2014). In addition, Jääskeläinen and Maula (2014) applied Hofstede's cultural dimension framework in conjunction with logarithmic regression analysis to study how the network ties can mitigate the cultural distance. Hofstede's Cultural Dimensions Theory is a framework which applies six key dimensions, including power distance, uncertainty avoidance, individualism-collectivism, masculinity-femininity, and short versus long-term orientation, to help understand the cultural differences across countries (Hofstede 2011). It is one of the most widely used theories across the CBVC research field, with its measures being frequently applied across empirical studies.

2016 to 2020

Traditionally, the determinants of CBVC continue to be the most frequently researched theme by CBVC scholars (e.g., Hain et al. 2017; Khadem 2020; Pezeshkan et al. 2020; Siddharth and Matusik 2017; Zheng, Duan, and Sun 2020). However, their approach continues to be more diversified and sophisticated than before as they study institutional factors in conjunction with other influencing forces. Hain, Johan, and Wang (2016) highlight how institutional trust, as well as geographical and cultural distance, interact with one another and how they can influence CBVC flows when combined.

Once more, CBVC syndication continued to be a hot topic among scholars who studied the different stages of the syndication process. During the pre-syndication stage, scholars rely on the social network theory and institutional theory to examine the syndication partner selection process (Meuleman et al. 2017). The social network theory implies that relational embeddedness is a key driver of the partnership formation, while according to the institutional theory, macro-level normative frameworks and rules that promote trust relations may diminish the dependence on relationally embedded ties when selecting partners (Meuleman et al. 2017). During the investment stage, some scholars applied the concept of liability of foreignness to argue that foreign firms are more likely to syndicate, compared to their domestic counterparts, when investments are less mature or when local markets are colder and less capitalised (Wang 2017). This is because immature portfolio companies and capital markets create more uncertainty for foreign investors, incentivising them to form alliances. Regarding the post-syndication stage, researchers often relied on the resource-based theoretical perspective to justify the implications of syndication on VC investment strategy and performance (Khurshed et al. 2018; 2020). Furthermore, many studies analyse the effects of the composition of a syndicate on the PC's performance (Arundale 2018; Chemmanur, Hull, and Krishnan 2016; Que and Zhang 2020; Zhang 2018). PCs require different resources at different stages of their life-cycle. Therefore, PCs backed by a syndicate composed of both foreign and domestic VC firms usually outperform in the long run PCs purely backed by domestic or foreign investors because they can complement one another and hence can offer a broader range of resources.

Another stream of research focused on the effects of CBVC on portfolio companies from strategic-decision and performance-based perspectives. Regarding strategic decisions, Woo (2020) and Park and LiPuma (2020) studied the effects of CBVC on the portfolio companies' international intensity. Based on the social capital theory, a foreign VC firm can assist portfolio companies in venturing out by acting as a middleman and sharing their international social networks (Woo 2020). On the other hand, PCs can also influence cross-

border venture capital because VC firms can also learn from PCs, as shown by Akcigit et al. (2020), which aligns with the concepts discussed within the organisational learning theory.

A significant number of CBVC articles during this period also focused on VC performance, including the study of determinants of CBVC performance, which include variables such as home country advantage (Alvarez-Garrido and Guler 2018), level of centrality within regional syndication networks (Mingo, Morales, and Alfonso Dau 2018), the impact of the COVID-19 pandemic on CBVC performance (Kraemer-Eis et al. 2020), and venture capital type. In particular, it is worth noting that a growing number of research studies analyse the patterns of investments for different VC types (e.g., corporate VCs, government VCs, bank-affiliated VCs and independent VCs) (Bertoni et al. 2019) as well as their influence on the investee and VC market (Dahaj and Cozzarin 2019; Park, LiPuma, and Park 2019; Zhou, Gloor, and Woerner 2018).

From a methodological perspective, we also notice that prior to 2016, many empirical studies did not account for endogeneity, which can lead to the error term of the model being correlated with the explanatory variables, thereby violating a basic assumption of any regression analysis. However, since 2016, an increasing number of scholars, including Cumming, Knill, and Syvrud (2016), have addressed these issues by incorporating instrumental variables (IV) techniques into their analysis.

Gaps in literature and future research recommendations

Pre-investment stage

When discussing determinants of CBVC, networks play an important role. Among the study of networks, there is an avenue for future research on how the interplay between national distances and networks can influence investments. Future investigation should examine the extent to which firms headquartered in other countries can exploit their network advantages internationally and how the characteristics of their home countries interact with these firms' network advantages (Guler and Guillén 2010a). Furthermore, in the pre-investment stage, most studies focus on macro perspectives, while fewer studies attempt to do so from a microeconomic or firm level-centred viewpoint (e.g., Hursti and Maula 2007; Jääskeläinen and Maula 2014). For instance, which firm-level characteristics attract CBVC investment (e.g., level of experience, type of experience, industry type, male-to-female ratio, number of patents)? Apart from firm-level determinants, it would also be interesting to see more studies investigating the determinants and influencing factors of CBVC from an entrepreneurial perspective. For example, how do entrepreneurs choose foreign investors? What factors affect their decision-making process?

Investment behaviour stage

The research stream that investigates the syndication process from the perspective of a foreign VC firm has been widely covered. However, there is comparatively less research on cross-border syndication from a domestic player's perspective. Hence, the syndication process from a domestic VC perspective through the lens of institutional theory is worth investigating further. In addition, a subject that deserves more attention is the VC syndicate partner selection process, which has mainly been covered from the

perspectives of resource-based theory and liability of foreignness (Gu and Xiaohui 2014; Meuleman et al. 2017). Hence, we suggest that more research be conducted on the decision-making process of partners and other factors that influence partner selection (e.g., management characteristics and firm strategy). Moreover, few studies have paid attention to the post-syndication dynamics between the parties involved. As mentioned previously, cultural, institutional, and geographical distance can affect the relationship between foreign and local VC firms. Thus, the dynamics between the parties involved, as well as the management issues and difficulties throughout the post-syndication phase, should also be considered. We realise that these issues have not been studied widely, presumably due to the lack of relevant data. However, it is still intriguing and worth further investigation, perhaps with the help of first-hand information obtained through surveys, questionnaires, and interviews.

Apart from syndication, many other strategies can be applied to mitigate the risks induced by the liability of foreignness, such as contracting and monitoring. Regarding contracting, most research focuses on how the differences in legal systems across nations affect the structure of contract terms for CBVC firms. Nevertheless, relatively little research explores other influencing factors on contract structuring, such as firm characteristics, market conditions, and local customs. On the other hand, monitoring the behaviour of foreign and domestic VC firms has been investigated by Pruthi, Wright, and Lockett (2003) from an involvement perspective (operational versus strategic level). However, other differences that explain how foreign and domestic VC firms monitor PCs deserve more attention. For instance, due to the geographical distance, foreign VC firms might pay more attention to a PC's financial statements, inner legal protection structure, and company governance, whereas, due to solid network-embeddedness, domestic VC firms might pay more attention to the PC's market development, local reputation, existing partnerships, and other factors.

We also discovered a lack of literature exploring the legal structure and entry mode of CBVC firms in the host country and how it affects their operation. For instance, in China, foreign VCs that intend to enter the market are faced with multiple business registration options, such as enrolling as a Chinese agent, Wholly Foreign-Owned Enterprise (WFOE), or joint venture. It would be interesting to see how these different forms of legal structure influence the performance and cooperation between local and foreign VCs. Furthermore, one might also wonder if any pattern or preference exists amongst venture capitalists regarding the entry mode choice and legal structure. Zhao, Luo, and Suh (2004) claim that the topic of entry mode choice has been voluminously examined across the literature of international entry strategies. However, in our sample of CBVC literature, we could not find many articles focusing on the legal structure and entry mode of VC firms.

Post-investment stage

Most published research studies consider the effects of CBVC on PCs, while the influence of PCs on CBVC is often ignored. An exception is Akcigit et al. (2020), who argue that a PC's performance and strategy can influence a VC firm's investment strategy in the following round. Regarding performance, we also noticed that many studies use VC exits, either through an IPO or M&A, as their primary measure of performance (Brander, Du, and Hellmann 2015; Phalippou and Gottschalg 2009). Nevertheless, we believe that other

performance measures should also be applied to provide a broader perspective of performance and highlight other intangible performance measures that were previously not considered but could play an essential role in VC.

Another research theme that requires further attention is the influence of a firm-level reputation on CBVC. As stated in Gu and Lu (2014), researchers tend to adopt a performance-based definition of reputation (Washington and Zajac 2005) and employ the most direct indicator of the reputation, which is past success. However, in reality, there are many facets of reputation, such as high-quality products (Rhee and Haunschild 2006), business integrity (Jensen and Roy 2008), and cooperativeness (Baum, Calabrese, and Silverman 2000). Future research can distinguish between these various aspects of reputation and examine their distinctive influences on a firm's alliance behaviour.

Other gaps and future research recommendations

When analysing the set of articles, we noticed that the majority of studies discuss CBVC from the perspectives of PVC, FVC (foreign VC) and DVC (domestic VC). Nevertheless, studies related to more detailed classifications, such as CVC (corporate VC), IVC (independent VC), BVC (bank-affiliated VC), and GVC (government VC), are limited in numbers. Since each VC type possesses unique characteristics and affects the market differently, it deserves special attention from researchers. For example, the peculiar effect of government VC is demonstrated in industry-specific investments and in countries like China, where government policy has a sheer impact on market choice.

Until now, most of the research points to the internationalisation of VC; however, there is not much discussion about de-internationalisation or regionalisation. More research on de-internationalisation in the context of CBVC is still needed, given the current economic and geopolitical situations across the globe. Events such as the COVID-19 pandemic, the US-China trade relationship, and the conflict between Ukraine and Russia may have had an immense effect on the global flow of CBVC and deserve further discussion. One example of research that attempts to study the reallocation effects of the COVID-19 pandemic on CBVC flows was written by Bellucci et al. (2020). Moreover, factors that deter CBVC flows might be utterly different from those that incentivise the movement of international capital and, thus, demand more research.

Also, relatively little literature exists on the topic of CBVC in China (Dai, Hoje, and Kasscieh 2012; Gu and Xiaohui 2014; Haitian, Yi, and Gongmeng 2007; Huang, Kenney, and Patton 2015; Humphery-Jenner and Suchard 2013a; Linton 2008; Que and Zhang 2020; Wang and Wang 2011; Yin and Zeng 2013; Zhang 2011). Given the vast size of the Chinese VC market and its global influence, conducting more research on CBVC investment within China is vital. In addition, more CBVC research about developing countries, such as India, is also needed.

We find that CBVC literature is dominated by empirical studies and review articles, while theoretical articles are much rarer. We recommend having more theoretical discussions that can support existing empirical studies and open new pathways to the future research. In particular, there is room for incorporating theoretical models (e.g., contract theory models) that explain the concept of information asymmetry, agency costs, and contracting within CBCV. International VC is a good research ground for such studies, as it involves multiple participants that face a significant level of uncertainty and information

asymmetry. An example of a recent theoretical VC study that applies contract theory was written by Andrieu and Groh (2021). However, the authors' primary focus is on the secondary VC market and not the CBVC market. At last, although there are plenty of empirical studies, many of them face a significant challenge as they assume that the decision to accept investment by portfolio companies and the decision to invest by VC firms is random. However, in reality, the commitment to form a partnership is endogenously determined. Thus, not accounting for endogeneity can lead to bias and a misspecified model. One way to deal with endogeneity concerns is through instrumental variables (IV) techniques, as applied by Cumming, Knill, and Syvrud (2016).

Conclusion

In parallel with the rapid development and globalisation of VC, we have witnessed a growing body of academic research examining CBVC. However, most past literature reviews on CBVC are old and outdated (with the most recent one being written in 2018). While the CBVC market and research field have proliferated during past years, the latest developments across the CBVC literature have not been highlighted in previous literature reviews. Our research closes this gap by proposing an underlying conceptual framework based on the VC life-cycle, which categorises the most relevant literature on CBVC according to different stages of the cycle and performs an in-depth, critical analysis of existing CBVC literature. Foremost, we identify general, theoretical, and methodological trends. From there, we bind them together to provide an overview of the current state of CBVC literature, highlight existing research trends and gaps, and provide recommendations for future research. Although our study aims to thoroughly assess existing CBVC literature, we believe that there is also a need to conduct metanalyses of certain CBVC studies, especially since some studies contradict one another. In addition, since we attempt to review the entire sample of core CBVC studies, we might not be as focused in our approach as scholars that would decide to concentrate only on certain aspects of the CBVC research field (e.g., syndication, determinants ...). Therefore, we leave a more topic-centred analysis to other researchers.

Notes

1. Search parameters: Venture Capital/All cross-border deals by country/on and after 1 January 2011 and up to and including 31 December 2020. We excluded deals with a missing amount or completion date.
2. The presence of certain authors may have inflated the scores of some institutions.
3. Sample considered empirical studies.

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Appendices

Appendix A

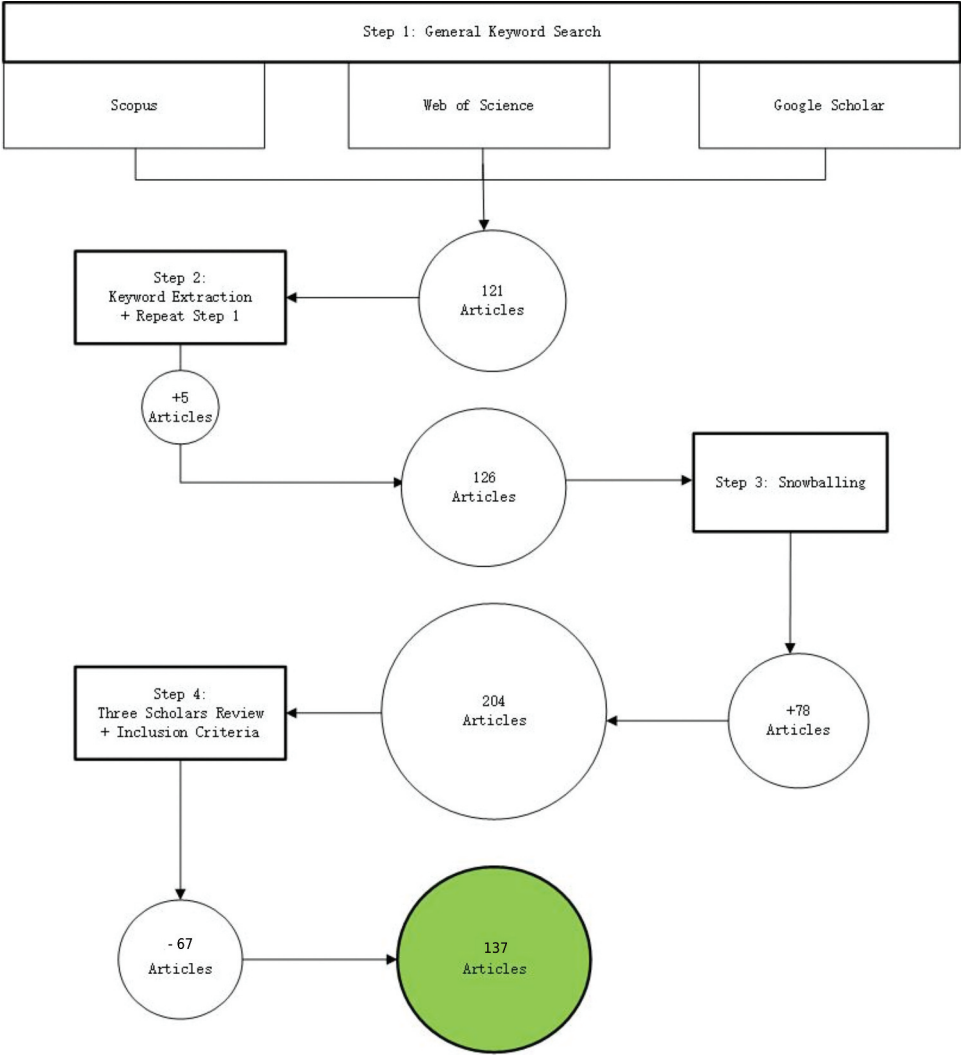


Figure A1. Literature sourcing, screening and selection process.

Appendix B

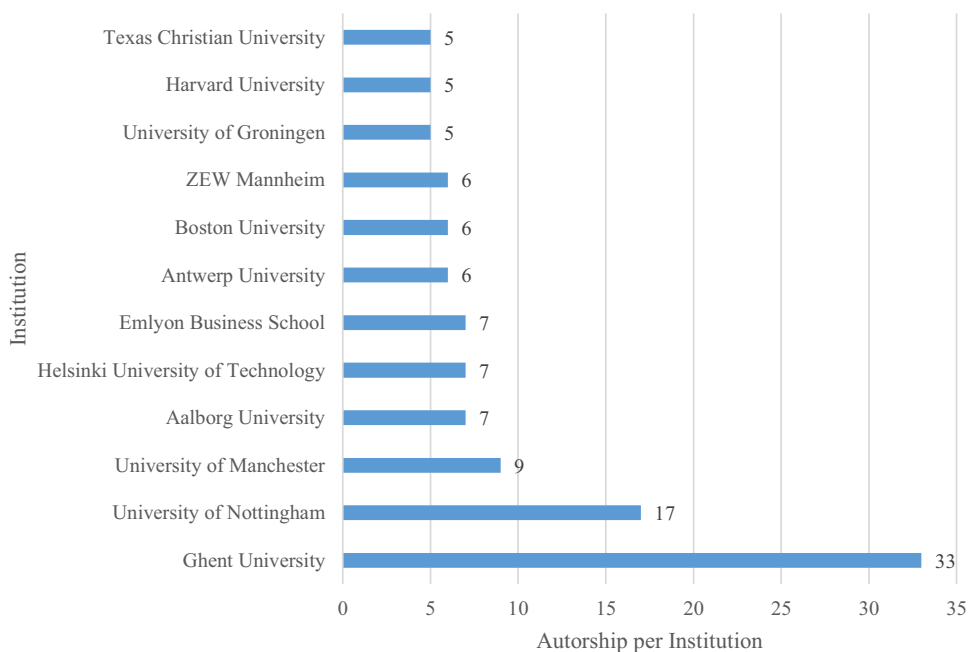


Figure B1. Author publications per institution.

Appendix C

In [Appendix C](#), we discuss the main characteristics of the most commonly used data sources covered by scholars within the CBVC literature, including their coverage, strengths, and weaknesses.

Summary of Venture Capital Databases

One of the most important considerations when selecting a database is geographical coverage. CBVC studies related to the US market tend to be dominated by VentureXpert, while scholars studying CBVC in relation to Europe often select Zephyr and, in recent years, VICO. On the other hand, Asian CBVC studies are usually supported by databases from the AVCJ, Zero2IPO, CV Source, and Venture Intelligence. In general, scholars also tend to collect data from regional VC associations, especially if the said associations are located within the market being studied. Coverage is not merely restricted to a specific location, instead, the research subject is another dimension of coverage. For instance, in recent years, a database known as Crunchbase has been popular among scholars who study the behaviour and characteristics of entrepreneurs and link them to the performance of specific CBVC funds and portfolio companies.

Over the course of many years, the attributes and shortcomings of the existing data providers have been discussed by scholars. As depicted in [Figure 8](#), VentureXpert is the most popular database amongst scholars and has been used since 1969. VentureXpert offers the most extended reach in terms of historical data, a high level of experience, and a wide range of information on the CBVC market that some competitors may not possess, including information about the exit strategies of each portfolio company (Chemmanur, Hull, and Krishnan 2016). Although

VentureXpert is well-known for having decent coverage of the US market, its European and Asian reach is less comprehensive (Dai, Hoje, and Kassieh 2012). Furthermore, before the 1980s, the database was based on the self-reporting of investment companies and, hence, was susceptible to self-selection bias (Bringmann 2018). These findings are in line with Ljungqvist (2002), who found discrepancies and missing deals in the pre-2000 sample of VentureXpert. Moreover, although VentureXpert does contain the data on the exit strategy for each PC, it does not contain the data on the value and proceeds from those strategies (Cumming, Knill, and Syvrud 2016).

Surveys in the form of questionnaires and interviews are the second choice among scholars performing research on the topic of CBVC. If one has access to information from reliable sources, then the main advantage of such an approach is the high quality of the data being obtained. For instance, the issue with using data from third-party providers is that it is sometimes difficult to verify the accuracy and reliability of the said data. Furthermore, pieces of information provided by databases have often been processed by data clerks and, as a result, are prone to human errors. However, one of the main shortcomings of surveys is the amount of time and effort it takes to design a survey that meets all the research standards and is less prone to human, self-reporting, and self-selection biases.

Zephyr is the third choice overall among scholars, but is the favoured option over VentureXpert when the focus is non-US VCs. According to Aizenman and Kendall (2012), unlike VentureXpert, Zephyr does not suffer from a “home bias” towards the US. Furthermore, the database offers a decent coverage of mid-sized transactions (Tykvová 2008) and a good amount of the deal- and investor-level information about acquirers, target firms, and other participating parties, such as deal volume, countries of origin, information on parent companies, detailed business descriptions, and industry affiliations (Schertler and Tykvová 2012; Tykvová and Schertler 2014). Another noteworthy characteristic is that Zephyr provides a deal synopsis that can be used to identify the scope, activity, and target customers/markets of VCs (Bellucci et al. 2020). With regards to shortcomings, in terms of US and international coverage, Zephyr is slightly inferior compared to VentureXpert. Furthermore, the database only offers the investment amount information on the deal level, while contributions of each party involved are not provided. Another limitation is that Zephyr solely offers the information on the VC fund that underwrites a deal, while no details are available concerning the broader corporate structure of the fund.

VC associations typically collect data from local businesses and VCs, hence they tend to be well connected within the local market and possess plenty of resources within their network. Nevertheless, one of the problems with this source of data is that it underrepresents small- to medium-sized firms, which are often not part of any associations (Bringmann 2018; Mason 2007). However, since many providers obtain their data from VC associations, they are also affected by the same sample selection bias.

The fifth most commonly applied data source is VICO, which contains information about the high-tech sectors in seven countries (Belgium, France, Germany, Italy, Spain, the United Kingdom, and Israel) starting from 1988 (RISIS Core Facility 2021). Although the coverage is limited to only a few countries, VICO provides the broadest, most detailed range of information within its geographical scope. This is because VICO retrieves information from a vast number of sources, including annual reports, websites, press releases, VC association data, and other databases, such as Zephyr and VentureXpert (Bertoni and Martí 2011). A major drawback of the database is that the access is only possible in person or “on site”.

Crunchbase places - sixth in terms of popularity when it comes to global data. This database includes information about investments, funding, founding members, individuals in leadership positions, mergers and acquisitions, news, and industry trends. In addition, the platform also offers effectively designed entity profile information, while the graphical architecture of Crunchbase allows researchers to extract multimodal relationships between entities, such as company–funding, round–investor, company–founder, and founder–press articles (Hain et al. 2017). The main benefit of Crunchbase is that it offers an abundance of information about entrepreneurs, thus enabling unique research opportunities, including the study of human capital and CBVC. Drawbacks include limited data history and missing information, although, since 2010, the availability of the data provided has been comparable to Crunchbase’s competitors (Block and Sandner 2009; Croce,

Guerini, and Ughetto 2018; Cumming, Walz, and Werth 2016; Ter Wal et al. 2016). Another drawback is that Crunchbase collects data on a self-reporting basis, which could lead to the self-selection bias, and which means that the availability of data is largely dependent on a continuous supply of information from the survey participants.

Capital IQ is seventh in terms of popularity among global databases in our literature sample. It is often used in conjunction with other sources to supplement some of their missing information and obtain firm-level data such as a firm's office location (Wuebker, Krrussl, and Schulze 2015) and information about investors and limited partners (Brander, Du, and Hellmann 2015). Although the database has not been widely used across many CBVC studies, it offers broad coverage of both private and public companies and information about company affiliations (Röhm, Merz, and Kuckertz 2020). However, as the database has only been available since 1999, their dataset might be incomplete for periods preceding this date, even though the company has been back-filling their data using various sources (Lerner, Sorensen, and Strömberg 2009). According to Strömberg (2007), another shortcoming of Capital IQ is that it does not provide enough information about the capital structure of deals.

Other databases, such as the AVCJ, Zero2IPO, CV Source and Venture Intelligence stand out from the rest by offering more localised data. In particular, the AVCJ offers good coverage for Asia (Brander, Du, and Hellmann 2015), while the latter three offer better coverage of the Chinese market (e.g., Gu and Xiaohui 2014; Zhou, Gloor, and Woerner 2018) and Indian market (e.g., Balachandran and Hernandez 2020; Joshi and Subrahmanya 2019; Joshi et al. 2019), respectively. However, the main disadvantage of the AVCJ, Zero2IPO, CV Source and Venture Intelligence, like VICO, is that the reach of these databases is limited to a certain region. In addition, there are issues with regard to reporting and quality standards in some of Asia's developing countries.

In recent years, some databases have been gaining popularity among scholars within the CBVC research field. However, they are still not as popular as some traditional sources. One example is Pitchbook, which has been used twice within our sample of empirical studies in conjunction with traditional CBVC databases (Arundale 2018; Lysenko, Hanemann, and Rosen 2020). Although PitchBook's VC data reaches back as far as 1959, fewer funds are available for earlier years than in the more established venture capital databases (e.g., VentureXpert) (Sharma 2017). Furthermore, there is also a heavier focus on US funds, especially during the earlier periods, thus not always the best option for CBVC research. Moreover, according to Splenda and Barnhart (2017), PitchBook's terms and pricing strategies are more suited to the needs of companies and smaller educational institutions that prefer license-based pricing instead of a subscription model that favours a larger number of users.

Summary of Other Data Sources

Apart from VC datasets, we also briefly mention some of the most common sources used to capture firm and country-level characteristics as well as micro- and macro-level determinants within the CBVC literature.

Macroeconomic and Country-Level Sources of Data

One of the most frequently cited country-level sources of data is the World Bank and its World Development Indicators (WDI), from which scholars gather GDP- and GNI-related figures (e.g., Bringmann 2018; Groh, Liechtenstein, and Lieser 2010; Guler and Guillén 2010b; Madhavan and Iriyama 2009), such as GDP growth and nominal GNI per capita, which are often considered determinants of CBVC. However, many other sources also offer GDP figures, such as the Bureau of Economic Analysis of the US Department of Commerce (BEA), the United Nations, and Datastream. In addition to the aforementioned economic data, the OECD databases are also applied to obtain population and employment outlook data (Jeng and Wells 2000; Tykvova 2008). Furthermore, market conditions are another essential factor affecting CBVC and are often measured with the help of the Morgan Stanley Capital International (MSCI) country indices (Cumming, Fleming, and

Schwiebacher 2009). Given the importance of proximity between the VC fund and PC in terms of providing value by venture capitalists, many scholars seek reliable sources to compute the distance between two geographical locations. Examples include the Centre d Etudes Prospectus, which provides the geographical distance between two places (Fujiwara 2013), and BatchGEO (<http://www.batchgeocode.com/>), a tool that offers latitude and longitude parameters for locations around the world (Tykvová and Schertler 2014).

Besides economic factors, the legal environment also plays an essential role in stimulating CBVC. Thus, La Porta et al.'s (1998) legal factors and the categorisation of the legal systems in 49 nations based on legal traditions have often been applied across the literature. However, one of the challenges with La Porta et al.'s (1998) classification is its limited sample of countries. For instance, they do not provide legality values for China, one of the world's largest VC markets. Thus, scholars studying the Chinese market are forced to devise alternative solutions, such as employing the average German legal origin values for China (e.g., Wang and Wang 2012).

Furthermore, data on countries' shareholder rights and legal origin can also be found in the IMD World Competitiveness Yearbook (WCY) (Tykvova 2008) and Central Intelligence Agency (CIA) World Factbook (Chemmanur, Hull, and Krishnan 2016), respectively. Next, we found legal data sources used across the CBVC literature that provide information about the quality of contract enforcement and the legal system. For instance, the Worldwide Governance Indicators (WGI) project, constructed by Kaufmann, Kraay, and Mastruzzi (2010), assesses the quality of contract enforcement, property rights, police, and courts as well as the likelihood of crime and violence in many countries. Using these and other measures provided by Kaufmann, Kraay, and Mastruzzi (2010), scholars can deduce the institutional distance between hosts and foreign nations. Similarly to Kaufmann, Kraay, and Mastruzzi (2010), Berkowitz et al. (2003) measures the quality and protection of a country's legal system using a country-specific regulative index, which is a weighted average of multiple factors, including the efficiency of the judicial system, the rule of law, corruption, risk of expropriation, risk of contract repudiation, and shareholder rights. These, as well as other legal indices and measures, are often used in conjunction with one another to provide a broader perspective on the legal environment of a particular country. In addition to the aforementioned legal measures, scholars also frequently apply the index of the political constraint provided by Henisz (2000) to measure the limitations on policymakers to make unilateral changes to the existing policy regime.

The cultural distance between the host and foreign nations is another crucial factor affecting CBVC flows. To capture cultural distance, scholars often apply the Kogut and Singh (1988) index and other methods based on Hofstede's (1980, 2011) four (later six) cultural dimensions (i.e., individualism-collectivism, power distance, uncertainty avoidance, masculinity-femininity, long-term orientation, and indulgence). However, despite the growing popularity of cultural indices within the CBVC literature, they are nevertheless not without criticism. For instance, in some cases, corporate culture can influence or take precedence over national culture, and often the perception of citizens from one country about the citizens of another country is not necessarily reciprocal (Shenkar 2001). Furthermore, other critics of Hofstede (2011) also suggest that differences within countries might exceed differences between countries. Nevertheless, despite the criticism, it is the most used and recognised framework for measuring cultural disparities across a wide range of business and management research. In addition, prior studies have shown that differences in national cultures are significant and affect how people act and interact with one another (Reus and Lamont 2009).

Another essential determinant of CBVC is entrepreneurial activity, which is often measured with the help of the World Bank's Entrepreneurship Survey (Iriyama, Yong, and Madhavan 2010). This survey assesses the level of entrepreneurial activity across more than 150 economies over time, helping scholars understand the dynamics of private enterprises around the world. Patent, as well as research and development (R&D) data, have also been frequently used within the CBVC literature to proxy for innovation which is also an essential driver of VC. The primary patent data sources used across our sample are the National Bureau of Economic Research (NBER) (Guler and Guillén 2010b), the European Patent Office's database (Patstat) (Devigne, Manigart, and Wright 2016a), the World

Intellectual Property Organisation, and the US Patent and Trademark Office (USPTO) (Alvarez-Garrido and Guler 2018), while the OECD Main Science and Technology Indicators have been utilised to gather information on R&D. Other local patent databases, such as the State Intellectual Property Office of China (Que and Zhang 2020), have also been cited by scholars. Furthermore, the OAG Annual Schedules Database and International Civil Aviation Organization (ICAO) have been used to obtain data on flight links (Colombo et al. 2017; Zheng, Duan, and Sun 2020). As previously discussed, convenient transportation links can significantly reduce the effects of geographical distance on CBVC flows. Apart from the variables highlighted above, information on bilateral trust among nations, economic freedom, and immigration have also been obtained through third-party sources, such as the Eurobarometer (a series of public opinion surveys that address a wide variety of topical issues relating to the European Union throughout its member states) (Bottazzi, Da Rin, and Hellmann 2016; Hain, Johan, and Wang 2016), the Heritage Foundation (an American conservative think tank primarily geared toward public policy) (Cumming, Knill, and Syvrud 2016; Lin et al. 2017), and the Statistical Yearbook of the Immigration and Naturalization Service of the US Department of Justice (a compendium of tables that provides data on foreign nationals, who, during a given fiscal year, were granted lawful permanent residences) (Madhavan and Iriyama 2009), respectively.

Microeconomic and Firm-Level Sources of Data

Some of the most frequently applied firm-level information across the CBVC literature are listing information of companies, which can offer data on IPO exits that serve as a crucial measure of success within the VC research field. Depending on the target research location, the three most commonly applied sources include Compustat for the US market, CSMAR for the Chinese market, and Factset for the rest of the world (Humphery-Jenner and Suchard 2013b). In addition to listing information, company information can also be found in the Bureau Van Dijk's databases, Amadeus (Colombo, D'Adda, and Quas 2019) and Orbis (Colombo et al. 2017). Another data type required for firm-level CBVC research is information about entrepreneurs, such as their qualifications, education, work experience, and background. Scholars can use the following databases: LinkedIn, Yourstory.com, www.forebears.io/Bloomberg, and archive.org. Finally, measures of VC reputation, another important determinant, can be based on the Lee-Pollock Jin VC Reputation Index (Lee, Pollock, and Jin 2011).